INSTITUTIONAL EQUITY RESEARCH | EVENT-DRIVEN / SPECIAL SITUATIONS

Elis SA (ELIS FP)

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A capital-intensive compounder priced as a value trap: 11x headline earnings, 8% FCF yield and a ~20% Brazilian family holder, with the OCEANE soft call and Q3 revenue as near-term tests

BUY Recommendation (event-driven, medium conviction)	**€26** 12-month target price (+22%); probability-weighted €25	**€21.26** Reference price, close 9-Oct-2026	**€4.6bn** Market cap (215.9m shares); EV €9.0bn incl. leases
5.2x EV / LTM adjusted EBITDA [calc]	**11.3x** P/E on LTM headline diluted EPS [calc]	**2.09x** Leverage at 30-Jun-2026 (covenant 3.75x)	**−25%** From the 3-Jul-2026 high of €28.20

Data sources: S&P Global (Capital IQ via the S&P Deterministic Retrieval connector) and ProntoNLP (S&P transcripts, Elis filings, prices, sentiment) only. No web sources. Figures are hyperlinked to their source documents where the connector returned a link; otherwise flagged "S&P, link n/a". [calc] = analyst calculation; [e] = estimate; [u] = unverified. A separate data-provenance document lists every connector call and the raw data.

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Investment summary

Recommendation: BUY, 12-month target €26 (+22%); event-driven, medium conviction. Elis is Europe's leading textile-rental and hygiene-services company: €4.8bn of revenue, an adjusted EBITDA margin of 35.4% and ~87% of revenue from recurring product-as-a-service contracts. After a 25% fall from the July high the shares trade at 5.2x LTM adjusted EBITDA, 11.3x LTM headline EPS and an ~8% FCF yield on equity — the low end of their five-year range and a fraction of US peers (Cintas 26.6x S&P EBITDA). The H1 2026 result disappointed on quality (flat margins, negative H1 free cash flow, Mexico tender loss, leverage 2.09x) but guidance was confirmed, and our base case puts FY2026E headline EPS only ~2% below the guided mid-point.

Why now — four things converge

- **De-rating already done.** The stock is −24.6% from the 3-Jul-2026 high and −18.4% since results day; sentiment on the H1 call (0.52) is the lowest since 2020, yet the strategic-position aspect barely moved.
- **Capital returns at scale.** €466.8m of shares (7.6% of capital) were bought back at €26.25 in H1 2026 [#292]; the policy returns all cash beyond €50–150m of bolt-ons and 0.1x a year of deleveraging [#493].
- **OCEANE 2029 soft call (from 13-Oct-2026).** Conversion of the €380m convertible into treasury shares would cut net debt by ~€362m at no cash cost and take leverage towards ~1.65x [#517]; the trigger (~€20.8 [calc]) is only ~2% below the price, so the convertible holder base is a natural buyer of weakness.
- **A ~20% strategic holder.** The Moreira Salles family (BWSA/BWGI) bought CPP Investments' block at €25.00 in Feb-2026 and sits on the Supervisory Board with a 25% standstill [#6728]; its entry price is 18% above today's.

What has to go right

- Q3 2026 revenue (28-Oct) shows the H2 organic acceleration management promised from record signings, despite Mexico (~€14m 2026 headwind).
- Energy and minimum-wage pass-through restores margin expansion in 2027 ("super nice price increase" from end-2026 indices [#472]).
- The OCEANE converts and FY2026 free cash flow grows mid-single-digit (H2 needs ~€390m+ after the −€30m H1).
- Capital allocation stays disciplined: no large US deal (the 2024 talks cost 21% in four days).

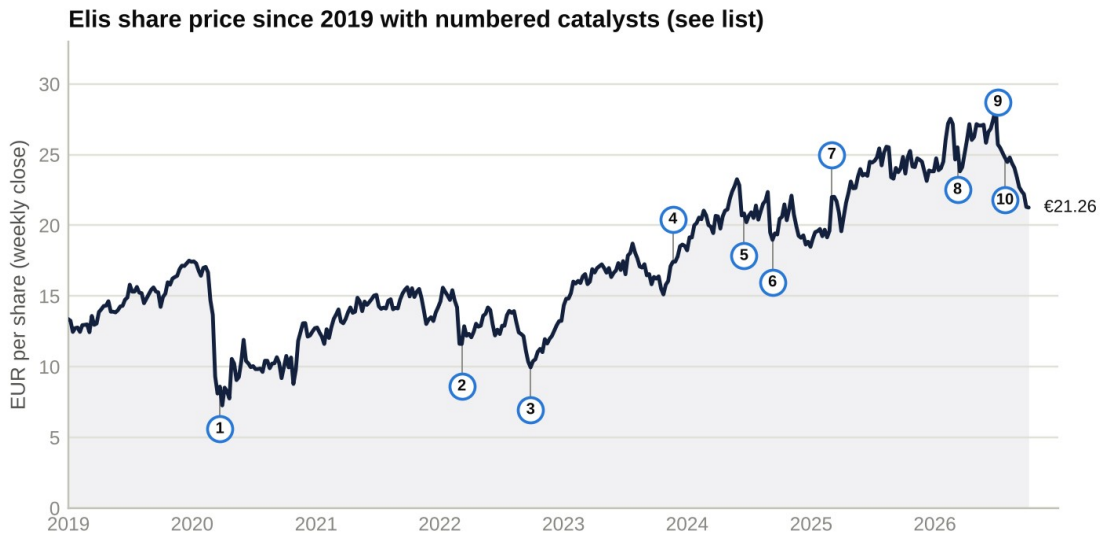
Key financials and estimates (EUR m)

	FY2023	FY2024	FY2025	FY2026E	FY2027E	FY2028E
Revenue	4,309.4	4,573.7	4,796.8	5,002	5,242	5,504
Organic growth	11.8%	5.2%	3.8%	~3.3%	3.8%	4.0%
Adj. EBITDA (company)	1,474.8	1,609.8	1,700.1	1,773	1,866	1,968
Adj. EBITDA margin	34.2%	35.2%	35.4%	35.4%	35.6%	35.8%
Adj. EBIT (company)	n/a	733	766.6	798	849	903
Headline diluted EPS (€)	n/a	1.76	1.85	1.96	2.14	2.34
IFRS diluted EPS (€)	1.06	1.34	1.46	1.58	1.77	1.97
DPS (€)	0.43	0.45	0.48	0.51	0.55	0.60
FCF after leases (company)	n/a	346.3	358.6	~375	~405	~440
P/E headline at €21.26			11.5x	10.8x	9.9x	9.1x

Actuals: Elis via S&P Capital IQ (linked) and company releases via ProntoNLP (Sections 7–8); FY2024 adj. EBIT and headline EPS derived from reported growth rates [calc]. Estimates: analyst [e] (Section 9).

Valuation and risks in one paragraph

Our €26 target blends 12.5x FY2027E headline EPS (€26.8), 5.5x FY2027E adjusted EBITDA (€27.2, post-OCEANE share count) and a 7% FCF yield (€23.4). Bear case €17 (25% probability: organic growth ~2.5%, margins −50bp, 9x P/E); bull case €33 (20%: 6% growth, 14.5x P/E); takeover value €30–38 at 6.5–7.5x EBITDA. The key risks are (1) a structural slowdown in organic growth below 3% as pricing normalises, (2) labour-cost inflation outrunning indexation, (3) a large leveraging acquisition, and (4) refinancing costs; the bear case is that Elis is a 7%-ROIC business whose cheapness is deserved (Sections 19 and 22).



Source: ProntoNLP getStockPrices (Elis, companyId 27989, weekly closes; series partly dividend-adjusted); event dates from Elis filings and transcripts via ProntoNLP.

1. A layman's guide to Elis

What it does. Elis rents out and looks after the textiles and hygiene equipment that businesses need but do not want to own: hotel sheets and towels, hospital linen and scrubs, workers' uniforms and protective clothing, cleanroom suits for chip and drug factories, washroom dispensers, entrance mats, water fountains and pest control. A van delivers clean items, collects dirty ones and takes them back to one of 370+ industrial laundries, where they are washed, checked, repaired and sent out again. When an item wears out, Elis replaces it — and recycles most old linen.

How it makes money. Customers sign multi-year contracts (typically four years) and pay a recurring fee per item, per wearer or per service visit. Elis buys the textiles up front (capex of ~18% of sales) and earns them back over their life. Profit comes from density: the more customers on each route and through each laundry, the lower the cost per item. That is why France, where Elis is biggest, earns a ~42% EBITDA margin versus ~31–34% elsewhere.

How each division contributes (FY2025)

Segment	Revenue (€m, approx.)	Share	Organic growth	Adj. EBITDA margin	Role
France	~1,401	~29%	+3.3%	41.9%	Cash engine; densest network
Central Europe (DE, CH, NL, BE, PL, CZ…)	~1,242	~26%	+3.0%	32.9%	Largest growth market; Germany turnaround
Scandinavia & Eastern Europe	~640	~13%	+1.9%	35.5%	Mature, high-margin "cash cow"
UK & Ireland	~580	~12%	+2.6%	32.4%	Competitive; margin up from 23% to >32% since Berendsen
Latin America (BR, MX, CL, CO)	~458	~10%	+8.2%	33.6%	Fastest growth; outsourcing conversion; FX and wage risk
Southern Europe (ES, PT, IT)	~451	~9%	+6.7%	33.7%	Hospitality-led growth and bolt-ons
Other (manufacturing, Asia, holdings)	~25	<1%	n/m	n/m	Le Jacquard Français, Kennedy, Malaysia
Group	4,796.8	100%	+3.8%	35.4%	

Segment revenues are from the URD regional profiles [#145] [#147] [#143] [#131] [#133] [#135] (labels other than UK & Ireland inferred from layout) and growth/margins from the FY2025 annual report (Section 7). Segment EBIT and net income are not disclosed.

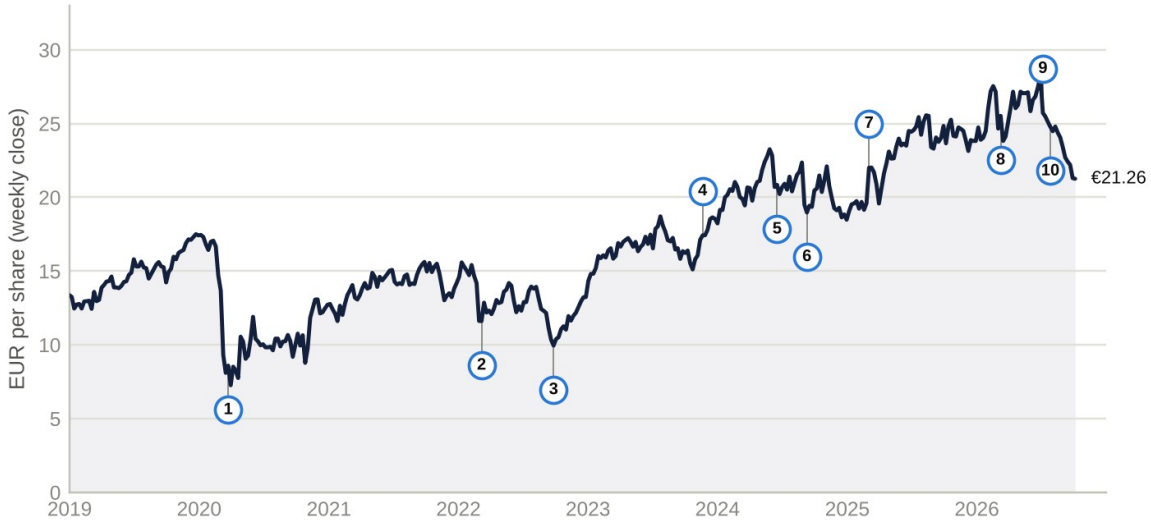
By customer type: healthcare ~30% (hospitals, care homes), hospitality 27% (hotels, restaurants), industry ~26% (food, pharma, manufacturing) and trade & services ~18% (shops, offices). By product: flat linen ~45%, workwear ~36%, hygiene & well-being ~17% (H1 2024 company split, see Section 7).

> **In one sentence**
>
> Elis is a "laundry-as-a-service" utility for European and Latin American businesses: dull, recurring and cash-generative, but capital-hungry and exposed to wage and energy costs that it can only pass on with a lag.

2. What moved the stock: catalysts behind ±10% moves (last five years)

Elis closed at €21.26 on 9-Oct-2026, -24.6% below its 52-week (and post-2019) closing high of €28.20 on 3-Jul-2026 and only 1.3% above the 52-week low of €20.98 (21-Sep-2026). Over five years the ProntoNLP series shows +42.0% (+7.3% a year) and over three years +33.1%, but the stock is −11.6% over one year [calc]. The five-year maximum drawdown was −37.6% (€15.89 on 13-Jan-2022 to €9.91 on 29-Sep-2022). Realised volatility is ~23.5% (1-year) and ~27.5% (5-year) [calc]. Note: the ProntoNLP price series is only partly dividend-adjusted; on closing prices quoted in Elis's filings the five-year change is about +32.5% (e.g. end-2021 €15.22 per the FY2021 annual report vs €14.20 in the series) [calc].

Elis share price since 2019 with numbered catalysts (see list)



Source: ProntoNLP getStockPrices (Elis, companyId 27989, weekly closes; series partly dividend-adjusted); event dates from Elis filings and transcripts via ProntoNLP.

Numbered markers refer to the list below. Source: ProntoNLP getStockPrices (Elis, companyId 27989); event dating from Elis filings/transcripts via ProntoNLP; analyst annotation.

Numbered catalysts on the chart

#	When	What happened
1	MAR 2020	Covid crash: -58% peak-to-trough; FY2019 dividend withdrawn
2	FEB-MAR 2022	Ukraine war / gas-price shock: -29% in four weeks
3	SEP 2022	5-year low €9.91; OCEANE 2029 convertible issued (€380m, 2.25%)
4	NOV 2023	S&P upgrade to investment grade (BBB-)
5	JUN 2024	French snap election: about -15%
6	SEP-OCT 2024	Exploratory US M&A talks (incl. Vestis): -21%, then +17% when terminated
7	MAR 2025	New capital-allocation policy + €150m buyback: +9% on the day
8	MAR 2026	Mid-East energy shock; €500m buyback (to Jul-26); Cintas-UniFirst deal
9	JUL 2026	All-time high €28.20 (3-Jul) as buyback completes
10	JUL-SEP 2026	H1-26: targets only confirmed, Mexico loss, FCF negative: -25% from high

What the history tells us

- **Energy is the single biggest historical shock.** The Ukraine war took the stock −29.0% in four weeks (10-Feb to 8-Mar-2022) and to the five-year low of €9.91 in Sep-2022. 2022 guidance was struck at €100/MWh gas against a historic maximum of ~€30 [#3392], and management later conceded it "were not hedging our energy purchases" at the time [#424]. A layered hedging policy now covers 93%/94% of 2026 gas/electricity and 81%/87% of 2027 [#76], which is why the March-2026 Middle East spike cost "only" −13.5% in a month.
- **Large-scale M&A is what the market fears most.** On 6-Sep-2024 the stock fell −15.66% in a day and −21.1% in four sessions as US acquisition talks leaked; Elis later confirmed it "held exploratory conversations with two US market players… both discussions were terminated at the beginning of October" [#1] and the shares rallied

+17.0% on the termination. At the Capital Markets Day, 27-May-2025 the CEO said Elis had been "ready to evaluate the potential acquisition of major targets like Vestis" [#3277].

- **Capital returns re-rate the stock; revenue surprises do not.** FY2024 results (6-Mar-2025) with a new capital-allocation policy and a €150m buyback produced a +9.05% day (+18.2% over the episode while peers fell 7.1%) [#4] [#133]. Across 17 reported quarters the average revenue surprise was only +0.9% (11 beats, 6 misses) [calc].
- **France-specific political risk is priced episodically.** The June-2024 dissolution of the National Assembly cost −13.5% in three weeks while peers rose 2.7%; management: "Our stock price lost around 15% since the dissolution of the French National Assembly" [#81]. France is ~30% of revenue [#155].
- **The current drawdown (−24.6% from the July high) is the second-largest of the cycle.** It combines (i) the end of the €500m buyback (completed 9-Jul) [#17], (ii) H1 2026 results on 29-Jul in which targets were only "confirmed" [#342] and Mexico lost tender volume [#330] (−5.68% next day, z-score −3.6), and (iii) a −14.4% slide from 26-Aug to 21-Sep-2026 that has no identified company-specific cause in permitted sources (partly sector: UniFirst −8.3%, Rentokil −8.9%) [calc].
- **Elis trades on European and company-specific news.** Daily-return correlation with Cintas, UniFirst, Vestis, Rentokil and Sodexo is only 0.14–0.32 [calc]; Vestis's guidance cut (May-2024, −45%) and suspension (May-2025, −37.5%) left Elis essentially unchanged.

All episodes of ±10% within 1–20 trading days (Oct-2021 to Oct-2026)

38 non-overlapping episodes were identified [calc]. "Peer median" is the median move of Cintas, UniFirst, Vestis, Rentokil and Sodexo over the same dates (ProntoNLP prices; Rentokil and Sodexo series are USD lines). 23 single-day or multi-day moves have no cause identifiable in S&P/ProntoNLP; these are labelled as such rather than guessed.

Start	End	Move	Peers	Category	Cause (abridged) and source
2021-11-05	2021-11-30	-16.6%	-6.0%	macro	Late-2021 Covid/Omicron risk to hospitality (peer median -6.0%) [calc]; Omicron impact confirmed only for early 2022; specific attribution partly [u]. [#29]
2021-12-20	2022-01-13	+22.4%	-4.1%	not identified	cause not identified in permitted sources; rebound after Nov-2021 sell-off, stock-specific vs peers (-4.1%) [calc].
2022-02-10	2022-03-08	-29.0%	-10.3%	macro (energy)	Ukraine war -> gas price spike; Elis unhedged on energy at the time (management, 11-Mar-2026); peer median -10.3% [calc]. [#3392] [#2927]
2022-03-08	2022-03-29	+17.6%	+16.4%	earnings/ guidance; macro	FY2021 results/2022 guidance with energy pass-through + market rebound (peer median +16.4%) [calc]. [#3392] [#2927]
2022-03-29	2022-04-06	-11.1%	-4.4%	not identified	cause not identified in permitted sources (includes 5-Apr-2022 -6.3%).
2022-04-06	2022-05-05	+14.2%	-3.2%	not identified	cause not identified in permitted sources; Q1 2022 revenue document not in ProntoNLP list; stock-specific vs peers (-3.2%) [calc].
2022-05-09	2022-05-30	+11.8%	+3.6%	not identified	cause not identified in permitted sources.
2022-05-30	2022-06-16	-16.5%	-10.2%	macro	cause not identified in permitted sources; broad sell-off (peer median -10.2%) [calc].
2022-06-30	2022-07-27	+15.3%	+10.5%	macro; earnings/guidance	Broad rebound (peer median +10.5%) [calc] into H1 2022 results (27-Jul, guidance raised). [#20] [#302]
2022-08-10	2022-09-06	-15.7%	-8.5%	macro (energy)	European energy-price crisis (gas, French power prices); peer median -8.5% [calc]. [#455] [#19]
2022-09-12	2022-09-29	-19.7%	-9.0%	macro (energy/rates)	Energy crisis peak and broad de-rating (peer median -9.0%) [calc]; specific trigger not identified; 29-Sep-2022 = 5-year closing low EUR9.91 [calc]. [#455] [#19]
2022-09-29	2022-10-27	+14.0%	+12.5%	macro; earnings/guidance	Rebound (peer median +12.5%) [calc] + Q3 2022 update (26-Oct): FY organic growth guidance raised to >+20%, energy costs falling. [#25] [#211]
2022-11-02	2022-11-11	+11.2%	+7.5%	macro	cause not identified in permitted sources; broad rally (peer median +7.5%) [calc].
2022-11-16	2022-12-13	+15.8%	+3.7%	not identified	cause not identified in permitted sources; stock-specific vs peers (+3.7%) [calc].
2022-12-20	2023-01-18	+19.3%	+1.8%	not identified	cause not identified in permitted sources; stock-specific vs peers (+1.8%) [calc]; continued into FY2022 revenue release (30-Jan-2023).
2023-01-19	2023-02-15	+10.2%	+1.0%	earnings/ guidance	FY2022 revenue (30-Jan-2023): 2023 organic growth of at least +10%, no slowdown seen; peers +1.0% [calc]. [#23]
2023-07-06	2023-07-24	+15.8%	+3.6%	not identified	cause not identified in permitted sources; pre-H1 2023 results run-up (results 26-Jul raised guidance, after window); peers +3.6% [calc]. [#366]

Start	End	Move	Peers	Category	Cause (abridged) and source
2023-08-29	2023-09-25	-10.6%	-4.3%	not identified	cause not identified in permitted sources. NB: the 4-Sep-2023 special call was a climate/CSR roadmap call recapping raised 2023 margin guidance, not an M&A call; peers -4.3% [calc]. [#244] [#428]
2023-10-11	2023-10-30	-10.3%	-1.9%	earnings/ guidance (partial)	Q3 2023 revenue (25/26-Oct): 2023 outlook confirmed but no 2024 target (framed as decelerating price effect) [inference]; peers -1.9% [calc]. [#293] [#324]
2023-10-30	2023-11-27	+16.0%	+9.6%	macro	cause not identified in permitted sources; broad rally (peer median +9.6%) [calc].
2024-01-03	2024-01-31	+12.0%	+4.1%	earnings/ guidance	FY2023 revenue (30-Jan-2024): organic +11.8%; peers +4.1% [calc]. [#18]
2024-03-20	2024-04-03	+10.4%	-0.1%	not identified	cause not identified in permitted sources; follows FY2023 results (7-Mar-2024, 2024 outlook organic c.+5%); peers ~0% [calc]. [#307]
2024-04-12	2024-05-07	+11.7%	+1.0%	not identified	cause not identified in permitted sources; Q1 2024 revenue date not in ProntoNLP; Vestis guidance cut (2-May-2024, VSTS -45%) had no visible negative read-across (Elis 0.0% that day) [calc]. [#191]
2024-06-06	2024-06-28	-13.5%	+2.6%	macro (French politics)	French snap election/dissolution of the National Assembly; peers +2.7% -> France-specific [calc]. [#81] [#155]
2024-08-08	2024-09-05	+12.9%	+5.2%	not identified	cause not identified in permitted sources; rebound after early-Aug-2024 sell-off; peers +5.2% [calc].
2024-09-05	2024-09-10	-21.1%	+0.2%	M&A	US acquisition talks (incl. Vestis) feared as large/leveraging deal; peers +0.2% [calc]. [#1] [#3277]
2024-10-02	2024-10-18	+17.0%	+2.7%	M&A	US talks terminated at the beginning of October 2024; peers +2.7% [calc]. [#1]
2024-10-30	2024-11-08	+10.4%	+5.1%	earnings/ guidance	Q3 2024 revenue (29-Oct): FY2024 objectives confirmed, US talks formally disclosed as terminated; peers +5.1% [calc]. [#1]
2024-11-08	2024-12-05	-14.8%	-1.7%	not identified	cause not identified in permitted sources; stock-specific (peers -1.7%) [calc]; Q3 release flagged disappointing hospitality (France/UK); French budget concerns raised by analysts at FY2024 results; [u] French government crisis. [#407] [#1]
2025-02-19	2025-03-18	+18.2%	-7.1%	earnings/ guidance; capital markets	FY2024 results, new capital allocation policy and EUR150m buyback; peers -7.1% -> stock-specific [calc]. [#4] [#377]
2025-03-18	2025-04-07	-15.0%	-20.2%	macro (US tariffs)	Global tariff sell-off (peer median -20.2%) [calc]; Elis less hit than peers. [#6] [#2993]
2025-04-07	2025-05-02	+21.1%	+11.0%	macro; earnings/guidance	Rebound (peer median +11.0%) [calc] + Q1 2025 revenue: objectives confirmed, no direct tariff impact. [#6] [#2993]
2025-08-15	2025-09-02	-10.3%	-2.9%	not identified	cause not identified in permitted sources; peers -2.9% [calc]; [u] French political instability (Aug-Sep 2025).
2026-01-21	2026-02-20	+15.9%	+15.1%	sector; capital markets	Sector rally (peer median +15.1%) [calc] + execution of the up-to-EUR500m 2026 buyback (from 6-Jan-2026). [#693] [#695]
2026-02-20	2026-03-20	-13.5%	-9.2%	macro (geopolitics/energy)	Middle East conflict -> energy price spike (peer median -9.2%) [calc]; FY2025 results 11-Mar (dividend EUR0.48, buyback up to EUR500m) and Cintas-UniFirst deal did not reverse the trend. [#424] [#453]
2026-03-20	2026-04-17	+14.0%	+5.5%	macro	cause not identified in permitted sources; rebound (peer median +5.5%) [calc].
2026-07-03	2026-07-30	-12.8%	+7.3%	earnings/ guidance; capital markets	H1 2026 results (guidance only confirmed, Mexico volume loss) after the EUR500m buyback ended mid-July (end of buyback support = [inference]); peer median +7.3% -> stock-specific [calc], although Rentokil (ADR -19.1% in window) also disappointed on 30-Jul. [#330] [#342]
2026-08-26	2026-09-21	-14.4%	-4.3%	not identified	cause not identified in permitted sources; partly sector (UNF -8.3%, RTO -8.9%, CTAS -4.3%) [calc]; includes unexplained 21-Sep -6.4% day; possible OCEANE soft-call/arbitrage overhang = [inference].

Source: ProntoNLP getStockPrices (Elis and peers) and ProntoNLP document search; moves and peer medians are analyst calculations (model/D_compute.py).

Single-day moves of ±5% or more

Date	Move	Peers	Category	Cause (abridged) and source
2021-11-25	-7.20%	-3.5%	macro	Broad sell-off: peer median -3.5%, Sodexo USD line -5.8% [calc]. ProntoNLP only confirms Omicron hit hospitality in early 2022; linking this day to the Omicron variant news is [u]. [#29]

Date	Move	Peers	Category	Cause (abridged) and source
2022-02-25	-5.36%	-0.1%	macro	Russia-Ukraine war onset -> European gas/energy price shock for an energy-intensive laundry operator (US peers flat, Sodexo -3.1%) [calc]; war-start date [u]. [#3392] [#2927]
2022-02-28	-7.15%	-0.9%	macro	Continuation of Ukraine-war energy shock (Sodexo -5.5%, US peers ~flat) [calc]. [#3392] [#2927]
2022-03-08	+8.53%	+4.0%	earnings/ guidance; macro	FY2021 results (call 9-Mar-2022): 2022 EBITDA margin ~33.5% at EUR100/MWh gas plus explicit price pass-through mechanism; same-day broad rebound (peer median +4.05%) [calc]. [#3392] [#2927]
2022-03-15	+5.09%	+2.5%	macro	cause not identified in permitted sources; broad rally (peer median +2.5%) [calc].
2022-04-04	-6.30%	-0.0%	not identified	cause not identified in permitted sources; stock-specific vs US peers (~0%), Sodexo -2.2% [calc].
2022-06-10	-6.77%	-4.0%	macro	cause not identified in permitted sources; broad sell-off (peer median -4.0%) [calc].
2022-06-28	-5.73%	-0.2%	not identified	cause not identified in permitted sources; stock-specific (US peers ~flat, Sodexo -2.0%) [calc].
2022-09-14	-5.06%	-1.5%	macro	Energy-crisis backdrop (power/gas prices) per management commentary; specific trigger for the day not identified; peer median -1.5% [calc]. [#455] [#19]
2022-10-03	+5.50%	+4.4%	macro	cause not identified in permitted sources; broad rally (peer median +4.4%) [calc].
2024-06-13	-5.99%	-2.0%	macro (French politics)	French snap-election shock after dissolution of the National Assembly; management attributed ~15% share-price fall to it; Sodexo -2.3%, Rentokil -3.7% [calc]. [#81] [#155]
2024-09-05	-15.66%	-2.1%	M&A	Market learned of Elis' exploratory talks with US players (incl. Vestis per CEO at CMD); Vestis +11.7% in the 5-Sep US session, Elis -15.7% next morning (open -9%) [calc]. Exact news item not available (News corpus not l… [#1] [#3277]
2024-10-03	+10.00 %	+0.2%	M&A	Termination of US talks at the beginning of October (financial discipline); intraday high +15% [calc]. [#1]
2025-03-05	+9.05%	-0.6%	earnings/ guidance; capital markets	FY2024 results + new capital allocation policy: EUR150m buyback starting 6-Mar-2025, dividend EUR0.45 (+5%), 2025 outlook; peers -0.6% [calc]. [#4] [#377]
2025-04-07	+6.35%	-0.2%	macro	Rebound after the US-tariff sell-off (US peers +5% to +10% in the following session) [calc]; Elis later said no direct US-tariff impact; tariff timeline [u]. [#6] [#2993]
2025-08-22	-5.56%	-2.0%	macro	cause not identified in permitted sources; broad decline (peers -1.6% to -4.2%) [calc]; [u] coincided with French government confidence-vote announcement.
2026-03-02	-5.84%	-1.8%	macro (geopolitics/energy)	Outbreak of Middle East (US/Israel/Iran) conflict -> energy price spike; Rentokil -5.2%, Vestis -3.1% [calc]; management stressed energy hedging on 11-Mar-2026. [#424] [#453]
2026-07-29	-5.68%	-2.5%	earnings/ guidance; sector (partial)	H1 2026 results (29-Jul after close): objectives only confirmed; Mexico volume loss; negative H1 FCF; EUR500m buyback already completed mid-July; peer median -2.5% [calc]. Same morning Rentokil's H1 2026 results (ADR -17… [#330] [#342]
2026-09-18	-6.42%	+0.1%	not identified	cause not identified in permitted sources; stock-specific (peers flat); close at session low EUR20.98 then +5.6% next day [calc] - pattern suggests technical/closing-auction effect [inference]; no Elis document after 30-…
2026-09-21	+5.62%	+0.5%	not identified	Reversal of the 21-Sep drop; cause not identified in permitted sources.

Source: as above. Moves are close-to-close [calc].

3. Business model, key drivers, customers, suppliers, competitors and contracts

3.1 The model in simple terms

Elis runs a product-as-a-service model: it owns the flat linen, workwear, mats and hygiene appliances, and charges customers a recurring fee to supply, collect, wash or maintain, repair and redeliver them on fixed routes. "Almost 87% of the Group's revenue relies on these principles of the product-as-a-service business model" [#2625]; the other ~13% is pest control, industrial wiping and medical-waste management [#2431]. Because Elis can substitute the textiles at will, rental & maintenance agreements are accounted for as service contracts, not leases [#5620]; subscriptions are invoiced in advance [#5757].

The economics are those of a dense, route-based industrial network: more than 373 laundries [#2031] located 30–100 km from customers [#3179], more than 6,000 routes a day covering 5 million km a week [#286] and a fleet of more than 11,800 vehicles [#3097]. Trucks run full in both directions (clean out, soiled back) [#3180]. Capex is heavy (linen is capitalised and depreciated): €864.0m in FY2025, 18.0% of revenue [calc], two-thirds of which maintains linen in circulation and flexes down automatically when activity falls [#1866].

3.2 Key drivers of the business

Driver	How it works at Elis	Evidence
Volume	New contracts, outsourcing conversion (hospitals, care homes, LatAm on-premise laundries), customer activity (hotel occupancy, industrial headcount), less ~6% annual customer losses	94% average retention [#829]; Mexico: 64% of TAM still on-premise [#2848]
Price	~50/50 automatic indexation vs negotiated pricing; indices track the last 12 months, so pass-through lags cost inflation	[#565] [#379]; pricing ~8 pts of 2022 organic growth (21%) [#178]
Mix	Rental & maintenance earns ~30% more than washing customer-owned linen (LatAm); cleanroom and pest control are "high-growth and high-margin"	[#1539] [#128]
Costs	Labour ~60% of costs; energy 6–7% of revenue (layered hedging); textiles priced annually	[#3309] [#614] [#1975]
Capex cycle	Linen capex tracks activity; big-plant projects ≈20% of investment on a 5-year roadmap; ~25% of capex for growth	[#353] [#363]
M&A	Bolt-ons of €50–150m a year at ~1.2–1.3x revenue; Elis is often the only natural buyer for family-owned laundries	[#2163] [#3349]
Regulation	Hygiene standards and outsourcing trends support demand; permits (water, discharge) and public-procurement rules shape supply and pricing	[#56] [#4792] [#847]
FX	37.6% of revenue in non-euro currencies (GBP 10.2%, Scandinavian 11.7%, LatAm 9.5%); translation only	[#2090]

Source: Elis FY2025 URD, CMD 2025 and earnings calls via ProntoNLP (links in table).

3.3 Products and services

Elis sells three solution families — flat linen (bed and table linen, towels, patient linen), workwear (uniforms, PPE, cleanroom garments) and hygiene & well-being (washroom dispensers and consumables, scent, mats, water fountains and coffee machines, pest control, medical waste) — into four markets: Hospitality, Healthcare, Industry, and Trade & Services [#555] [#58]. The split of revenue by solution exists only in a URD table that is not machine-indexed and is therefore not available in permitted sources [#557]. Disclosed specialty lines: cleanroom €275m in FY2025 (+8.5%) [#129] and €145m in H1 2026 (+6%) [#84]; pest control ~€80m (+9%) [#133] and €45m in H1 2026 [#88] — together ≈7.4% of revenue [calc].

3.4 Customers, end-markets and geographies

- **End-markets (FY2025):** Healthcare ~30% [#4887], Hospitality 27% [#1863], Industry ~26% and Trade & Services ~18% [calc, revenue-weighted regional profiles].
- **Customer base:** "hundreds of thousands of customers of all sizes" [#5547] — ~150,000 in France alone, from €30 a month to €3m a month [#1074] [#1084]; ~7,000 (mostly large) in Brazil [#2487]; ~2,000 in Mexico [#2824].

- **Concentration is negligible:** top-10 clients are below 10% of revenue and the largest contract below 1% [#1954] [#1955].
- **Named customers in permitted sources:** Sodexo (large German catering accounts, where Elis's share is "close to 20%") [#1342]; "a leading German private Healthcare group" (~€20m of revenue in 2027) [#108]; public hospitals in France, the UK and Brazil [#160]; the Mexican federal health system (tender) [#137]; semiconductor multinationals (cleanroom) [#2952].
- **Geographies:** 31 countries, 70% of revenue outside France [#1995]: France, Central Europe (Germany, Switzerland, Netherlands, Belgium, Poland, Czech Republic…), Scandinavia & Eastern Europe, UK & Ireland, Latin America (Brazil, Mexico, Chile, Colombia), Southern Europe (Spain, Portugal, Italy) and a first foothold in Asia (Malaysia, 2024). Segment economics are in Section 7.

3.5 Suppliers

Purchasing is centralised (direct: textiles and hygiene products; indirect; industrial) [#4022]. The top-100 suppliers account for more than 78% of direct purchases [#4080] and the 15 largest textile suppliers for more than 25% of direct spend [#2946]. Textiles are sourced 37% from Europe, 36% from Asia, ~14% from Africa and 7.5% from Latin America [#4026], with prices fixed for one year against binding volume estimates [#1975]. Elis describes some suppliers as "captive" — "the partnership with Malongo for coffee or the suppliers of industrial laundry or traceability equipment" [#1976]. It also manufactures in-house: a workwear plant in Estonia (650,000 items a year), garment plants in Brazil, Mexico, Colombia and Malaysia, Le Jacquard Français (table linen, France) and Kennedy Hygiene (appliances, UK) [#4027] [#5348]. Names of textile mills, laundry-equipment makers, chemical, energy, RFID and vehicle suppliers are not disclosed in S&P/ProntoNLP sources.

3.6 Competitors

Outside North America, markets are fragmented: Elis competes with "small, agile local players", in-house hospital laundries and direct-purchase alternatives (paper-product suppliers, workwear manufacturers, mat sellers) [#1902]. Management names Johnson Service Group and two other players in the UK, where competition caps margins [#749]; in Brazil Elis is ~5x the size of the #2 [#2488]. North America is dominated by Cintas, Vestis and UniFirst ("more or less 2/3" of uniform rental) [#3092] and is effectively closed to Elis after Cintas's move on UniFirst [#3103]. ProntoNLP's peer model rates Rentokil Initial plc, Cintas Corporation, UniFirst Corporation and Johnson Service Group PLC as strong competitors. Large private European rivals (e.g. Lindström, CWS, Alsco, Mewa) are not mentioned in any retrieved source; they are listed in Section 11 for completeness and flagged [u].

3.7 Contracts and payment terms

Term	Disclosure	Source
Duration	Usually an initial four-year term; automatic renewal is common	[#1946]
Early exit	Customer pays a fee that "usually equals almost the entire residual value of the contract"	[#1946]
Retention	~94% on average; ~6% of customers lost a year including business failures; lost customers "never reinsource"	[#829] [#401]
Pricing	~50% of revenue on automatic index formulas, ~50% negotiated; major customers re-priced mainly at the start of the year	[#565] [#576]
Public healthcare	Tenders; some German hospital tenders are price-only; Mexico moved to multi-lot awards	[#847] [#137]
Billing / collection	Subscriptions invoiced in advance; parent-company terms "15th of the following month"; group DSO 66–68 days at year-ends FY2023–25 [calc]; H1-2026 DSO 57 days (company definition)	[#5757] [#5490] [#93]
Supplier terms	60 days, including a supplier-finance programme	[#5784]
Receivables finance	€294.1m of receivables sold under a securitisation (on balance sheet); French programme up to €200m	[#6113] [#6108]
Minimum volumes	Not disclosed in permitted sources	—

Source: Elis FY2025 URD and transcripts via ProntoNLP; DSO = year-end receivables / revenue × 365 from S&P Capital IQ [calc].

4. Macro and micro factors: tailwinds and headwinds

Elis is a labour-intensive, energy-intensive service with indexed, sticky revenue. Its earnings sensitivity is therefore less about demand cycles (2020 showed revenue −14.5% yet a +20bp EBITDA margin and +€43m of FCF [#1866]) and more about the speed of cost pass-through.

Key factors and quantified sensitivities

Factor	Mechanism at Elis	Sensitivity / data point [calc unless sourced]
Wages (micro + macro)	"60% of our costs … related to labor"; European labour scarcity supports structural price increases [#3309]. 2026 group wage inflation ~4% [#703]; minimum wages +23% Colombia, +13% Mexico [#147]	+1% wages ≈ €20m cost (~1.2% of adj. EBITDA); +4% needs ~1.7% price to neutralise
Energy	6–7% of revenue [#614]; 2026 bill guided ~€190m [#446]; hedges 93%/94% (2026), 81%/87% (2027), 61%/53% (2028) gas/electricity [#76]	Middle East shock: €20–25m extra cost in 2026, ~€10m offset [#466]; +50% spot on unhedged 2027 volumes ≈ €12–18m
Inflation pass-through	Indices reflect the last 12 months, so cost spikes hit margins first and are recovered with a lag [#379]; "super nice price increase in '27" flagged from end-2026 index talks [#472]	+1 pt of price ≈ +€48m revenue/EBITDA (~+64bp margin)
Interest rates	Refinancing at higher coupons (EMTN 2024, 2025, Mar-2026 €600m at 3.875%) lifts financial expense [#5373] [#267]	Each +100bp on ~€1bn of refinancing ≈ €10m pre-tax (~1.5% of headline EPS)
FX (translation)	62.4% EUR, 10.2% GBP, 11.7% Scandinavian, 9.5% LatAm [#2090]; LatAm FX −8.0% in 2025 [#5344]	10% fall in all non-euro currencies ≈ −3.8% of revenue
Tourism / hospitality	27% of revenue; 2025 softer Q2–Q3 [#164]; Q1-2026 Paris occupancy dip [#94]	−10% hospitality volume ≈ −2.7% group revenue
Healthcare budgets	German "significant budgetary constraints" [#5331]; Mexico federal tender re-set [#136]; nursing-home outsourcing rising [#105]	Mexico ≈ −€14m revenue in FY2026 [#367]
Industrial activity	"activity levels among our clients were somewhat subdued" (H1 2025) [#69]; insolvencies flagged in H1 2026 [#59]	Workwear wearer counts follow employment
Outsourcing	Regulation, quality and focus on core business favour outsourcing [#649]; workwear outsourcing accelerating [#50]	Mexico: 64% of €1.5bn TAM still on-premise [#2848]
Regulation & CSR	Environmental permits (water, discharge) [#4792]; SBTi targets (Scope 1&2 −47.5% 2019–2030) [#1866]; textile-EPR rules not addressed in sources	Reuse model is a selling point (rented workwear: CO2 −35%, water −60% vs purchase)
Political	France ~30% of revenue; June-2024 dissolution cost ~15% of market value [#81]; 2027 presidential election flagged by analysts [#457]	Episodic de-rating risk

Sensitivities are static, before mitigation, on the FY2025 base (revenue €4,796.8m, adj. EBITDA €1,700m) [calc]; personnel cost base annualised from H1 2025 (€1,022.3m) [#310].

Summary: tailwinds vs headwinds

Tailwinds	Headwinds
• Wage-indexed contracts and structural labour scarcity support price • Outsourcing conversion: LatAm on-premise laundries, care homes, workwear • Hygiene/safety norms in food, pharma, semiconductors (cleanroom market +5–7% a year [#139]) • Energy largely hedged through 2027 • Circular-economy positioning vs disposables • Consolidation optionality: Elis is the natural buyer of family laundries • Strong end-2026 indices point to 2027 price increases	• Lagged pass-through of 2026 minimum-wage jumps (LatAm, Germany, UK) • Public healthcare budget pressure (Germany) and tender re-sets (Mexico) • Middle East energy/commodity shock (€20–25m in 2026) • Soft industrial activity and rising insolvencies • UK & Ireland competition caps margins • Higher refinancing costs as cheap 2019–21 debt rolls off • FX translation (GBP, BRL, MXN) and French political risk

5. Strength of the franchise and economic moats

Elis's products are commodities — a sheet is a sheet — but the service is not. Customers buy reliability (clean linen at 6am, the right garment for each wearer, compliant hygiene) at a cost that is small relative to their own revenue: linen costs a hotel €5–10 per room against room rates often above €200 [#58]. Brand matters in the B2B sense of trust and coverage rather than marketing; Elis wins "thanks to reliability and quality" rather than aggressive pricing [#612]. On S&P's standardised definition Elis's LTM EBITDA margin (31.1%) is above Cintas (26.9%), UniFirst (11.7%) and Vestis (9.3%) [calc], but because linen is capitalised and depreciated its capital intensity is far higher and its EBIT margin is well below Cintas's.

Moat scorecard (analyst assessment; 5 = very strong)

Category	Score	Assessment and evidence
Brand	3	B2B trust brand; #1/#2/#3 in most countries and #1 in more than half [#1032]. No consumer pricing premium; Elis is "not pricing aggressive" [#612].
Hard assets	4	>373 laundries, 11,800+ vehicles, linen stock; plants take 12–14 months to build but sites are permit-constrained [#381]; management: "really a high entry barrier" [#484].
Long-term contracts	4	~4-year initial terms, auto-renewal, exit fee ≈ residual contract value [#1946]; ~94% retention [#829]. Public tenders are the weak spot.
Network effect / density	4	Not a classic network effect but strong route-density economics: every extra customer on an existing route is high-incremental-margin; acquired companies run ~20% behind on KPIs [#484]; France EBITDA margin 41.8% (2024) where density is highest [#1084].
Regulatory & switching costs	3	Switching means re-tendering, re-sizing garments, re-training; lost customers "never reinsource" [#401]. Environmental permits restrict new capacity. But no regulatory licence protects incumbents.
Oligopolistic / monopolistic structure	3	Local oligopolies (e.g. France hospitality share >50% [#1084]; Brazil ~5x #2 [#2488]) but fragmented fringe; UK competitive [#749]. Antitrust history: French decision 07-D-21 (2007) [#2154].
Cash-flow predictability	4	Recurring, diversified revenue (top-10 <10%); 2020 resilience (+€43m FCF in a −14.5% revenue year) [#1866]. Offsets: H1 FCF can turn negative (H1-2026 −€30.1m) [#16]; capex ~18% of revenue.
Scalability	3	Scales well within a city/region (density); poorly across borders (each country needs plants and routes). Bolt-ons at ~1.2–1.3x revenue [#2163]. North America and Australia closed [#3092] [#3072].
Risk / history of government interference	3 (moderate risk)	Public procurement rules (price-only tenders), minimum-wage politics, Brazil public-contract probes (Lavebras/Atmosfera) with a potential ban of up to 10 years [#5931] [#5942]; merger-control risk [#2150].
Bargaining power vs stakeholders	3	Strong vs SME customers and textile suppliers (annual tenders, multi-sourcing) [#1975]; weak vs public health buyers, labour (60% of costs) and captive equipment suppliers [#1976].

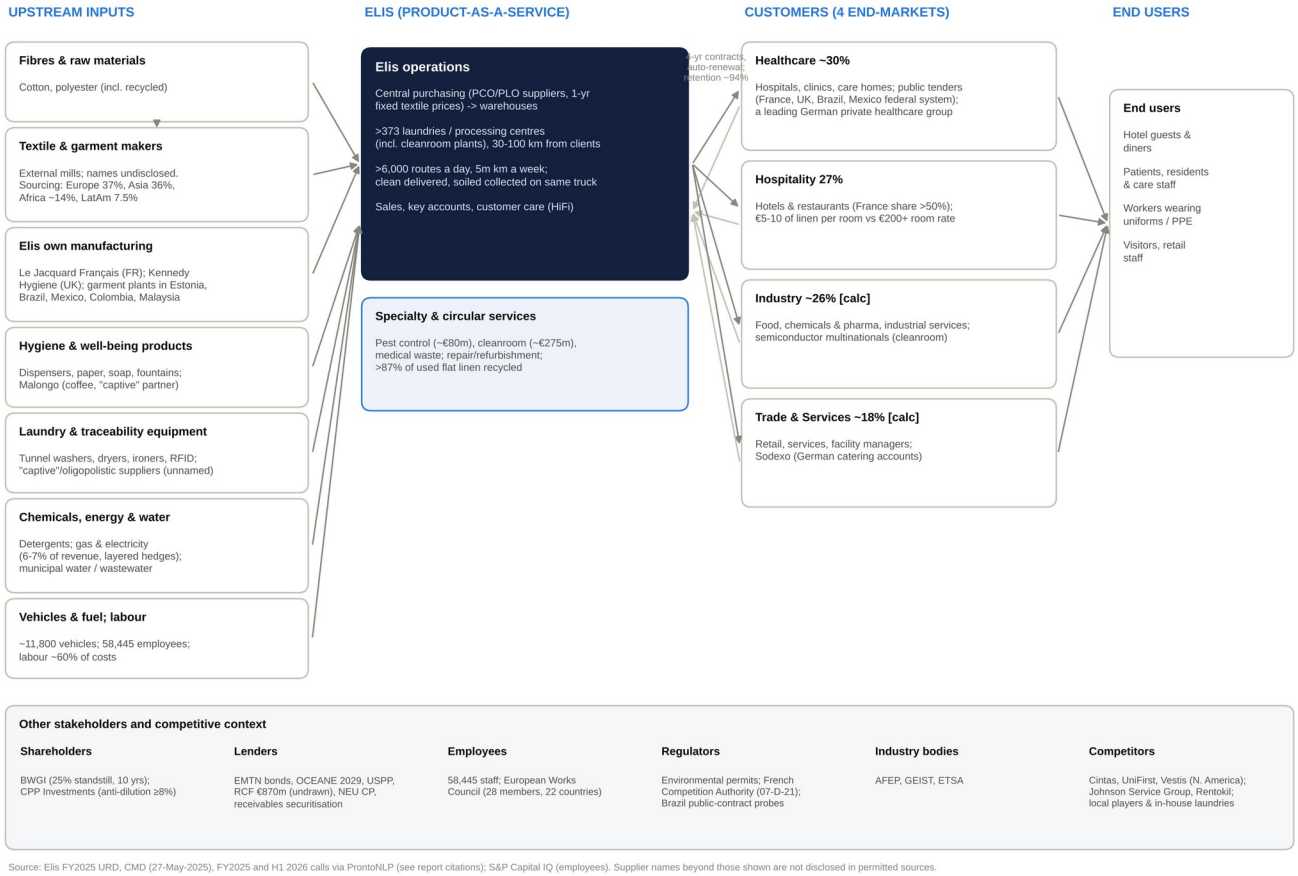
Scores are the analyst's judgement based on the cited evidence.

Verdict: a real but local moat

Elis has a narrow-to-moderate moat built on local density, contracts and capital intensity, strongest in France and in markets where it is #1. It is weaker where it is sub-scale (UK, parts of Central Europe), where the buyer is a public tender (German hospitals, Mexico) and where labour inflation outruns indexation. The moat protects returns, but it has not delivered high returns on the capital paid for acquisitions: group ROIC on EBITA after tax was only ~7% in FY2024–25 [calc] (Section 13).

6. Supply chain: from fibre to end user

Elis sits in the middle of a circular chain. Upstream it buys textiles, appliances, laundry equipment, chemicals, energy, water, vehicles and labour; it converts them into a service through central purchasing, ~373 laundries and ~6,000 daily routes; downstream it serves four end-markets whose end users are hotel guests, patients, workers and visitors. Soiled items come back on the same trucks, and end-of-life textiles are recycled (>87% of used flat linen) [#4617].



Source: Elis FY2025 URD, CMD (27-May-2025), FY2025 and H1 2026 calls via ProntoNLP (see report citations); S&P Capital IQ (employees). Supplier names beyond those shown are not disclosed in permitted sources.

Source: Elis FY2025 URD, CMD 2025, FY2025 and H1 2026 calls via ProntoNLP; S&P Capital IQ (employees). Full node/edge list with citations: model/G_supply_chain.json.

Named companies interacting with Elis (as disclosed in permitted sources)

Role	Named companies	Source
Own manufacturing (captive)	Le Jacquard Français (France); Kennedy Hygiene (UK); garment plants in Estonia, Brazil, Mexico, Colombia, Malaysia	[#4027] [#5348]
External suppliers	Malongo (coffee; "captive" partnership). Laundry-equipment and traceability suppliers described as captive/oligopolistic but unnamed	[#1976]
Customers	Sodexo (Germany catering accounts); a leading German private healthcare group (unnamed); Mexican federal health system; public hospitals in France, UK, Brazil	[#1342] [#108] [#137] [#160]
Competitors	Cintas, UniFirst, Vestis (North America); Johnson Service Group (UK); Rentokil Initial; local players and in-house laundries	[#3092] [#749] [#1902]
Shareholders with agreements	BWGI (12-month lock-up; 25% standstill for 10 years); CPP Investments (anti-dilution right while ≥8%)	[#6728] [#6717]
Financial counterparties	Bondholders (EMTN, OCEANE 2029, USPP), banks (RCF €870m undrawn to Nov-2028), NEU CP, securitisation; Oddo BHF (liquidity agreement)	[#2090]
Employees & bodies	European Works Council (28 members, 22 countries); AFEP, GEIST, ETSA (trade bodies)	[#3484] [#2788]
Regulators	French Competition Authority (07-D-21); French prefectural authorities (site permits); Brazilian Federal Police (Lavatec/Lavebras probe)	[#2154] [#5931]

Supplier names for textile mills, laundry equipment, chemicals, energy, RFID and vehicles are not disclosed in S&P Capital IQ or ProntoNLP sources; we have not filled them from memory.

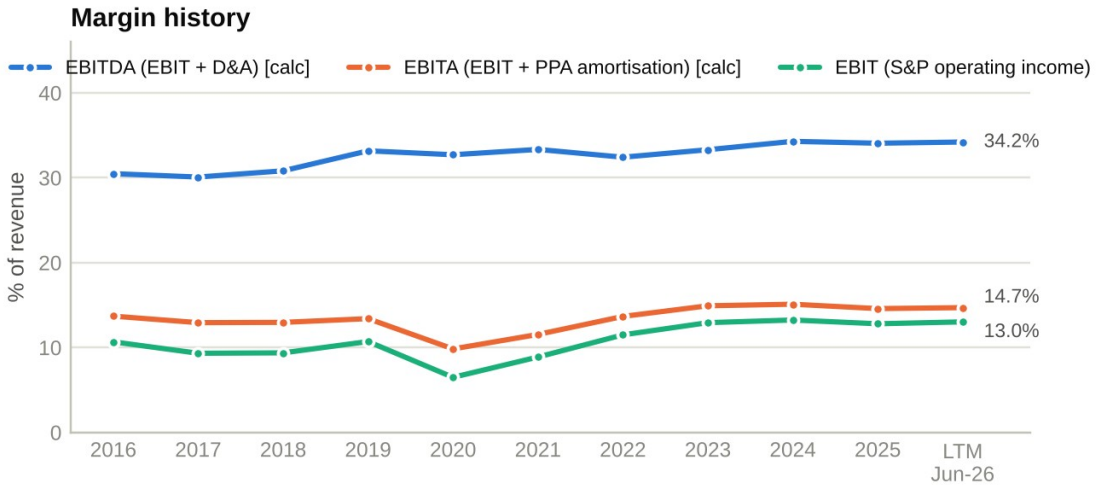
7. Financial analysis: five years by segment and geography

Elis reports six geographic operating segments plus "Other" (manufacturing entities and holdings). It discloses revenue, organic growth and adjusted EBITDA by segment; it does not disclose segment EBIT or net income, so those are shown at group level only. Revenue by product line and end-market is disclosed in the half-year notes.

7.1 Group P&L, cash flow and balance sheet (S&P Capital IQ, EUR m)

EUR m	FY2021	FY2022	FY2023	FY2024	FY2025	LTM Jun-26
Revenue	3,048.3	3,820.9	4,309.4	4,573.7	4,796.8	4,910.8
growth	8.6%	25.3%	12.8%	6.1%	4.9%	—
Gross profit	932.1	1,169.1	1,416.1	1,504.2	1,610.2	1,648.4
EBITDA (S&P definition)	923.6	1,135.0	1,319.2	1,436.0	1,484.6	1,525.7
Adj. EBITDA (company)	1,052.1	1,259.6	1,474.8	1,609.8	1,700.1	1,740.1
margin	34.5%	33.0%	34.2%	35.2%	35.4%	35.4%
EBITA (S&P)	369.4	541.0	664.5	713.3	723.3	n/a
EBIT (S&P operating income)	270.7	439.1	557.1	605.6	613.9	639.4
margin	8.9%	11.5%	12.9%	13.2%	12.8%	13.0%
Net income (IFRS)	114.3	202.6	262.0	337.7	366.6	377.8
Cash from operations	961.6	1,091.2	1,325.6	1,452.1	1,510.6	1,486.4
Capex	-552.8	-673.3	-797.1	-860.8	-864.0	-915.8
capex / revenue	18.1%	17.6%	18.5%	18.8%	18.0%	18.6%
Net debt incl. leases (S&P)	3,597.4	3,663.6	3,563.7	3,644.3	3,723.4	4,370.3
Goodwill	3,818.3	3,914.1	3,979.2	3,932.0	4,039.6	4,066.0

Source: S&P Capital IQ (values hyperlinked to the Capital IQ document viewer where a link was returned); company adjusted EBITDA from Elis annual reports via ProntoNLP (worker F); LTM = FY2025 + H1-26 − H1-25 [calc]. S&P EBITDA excludes items Elis adds back (IFRS 2, non-recurring), hence the gap to company adjusted EBITDA.



Source: S&P Capital IQ (Elis SA, C_27989) — source link unavailable; analyst calculations [calc].

Trends and why

- **Revenue** rose 57% from FY2021 to FY2025 (+12% CAGR) [calc]: Covid recovery and an exceptional pricing cycle (organic +21% in 2022 incl. ~8 pts price [#178], +11.8% in 2023 incl. ~9 pts [#156]), then normalisation to +5.2% (2024) and +3.8% (2025); acquisitions added 1–2 pts a year and Mexico (Lavartex, 2022).
- **Margins**: adjusted EBITDA margin dipped to 33.0% in 2022 (unhedged energy) and recovered to a record 35.4% in 2025 as price caught up and hedging saved ~€30m [#419]. EBIT margin has stalled at ~13% (S&P) / 16.0% (company) because D&A rose to ~19.6% of revenue with heavy linen capex.
- **Net income** tripled from €114m to €367m as Covid-era charges fell away and operating leverage worked; growth has slowed to +8.6% in 2025 as financial costs rose (net interest −€134m vs −€91m in 2022).
- **Cash flow**: CFO grew 57% but capex stayed at 18–19% of revenue, so company FCF after leases was only €358.6m in 2025 (21% of adjusted EBITDA).

7.2 Segments: growth and adjusted EBITDA margin, FY2021–H1 2026

Organic growth by segment

Segment	FY2021	FY2022	FY2023	FY2024	FY2025	H1 2026
France	+9.9%	+24.2%	+10.7%	+3.3%	+3.3%	+2.0%
Central Europe	+2.5%	+15.0%	+15.1%	+7.5%	+3.0%	+3.2%
Scandinavia & Eastern Europe	+3.1%	+14.9%	+8.5%	+3.8%	+1.9%	+1.6%
UK & Ireland	n/a	+28.8%	+14.0%	+4.3%	+2.6%	+1.6%
Latin America	+14.1%	+9.1%	+10.4%	+8.7%	+8.2%	+8.0%
Southern Europe	+19.0%	+40.1%	+13.6%	+5.4%	+6.7%	+5.7%
Group	+7.4%	+21.0%	+11.8%	+5.2%	+3.8%	+3.2%

Adjusted EBITDA margin by segment

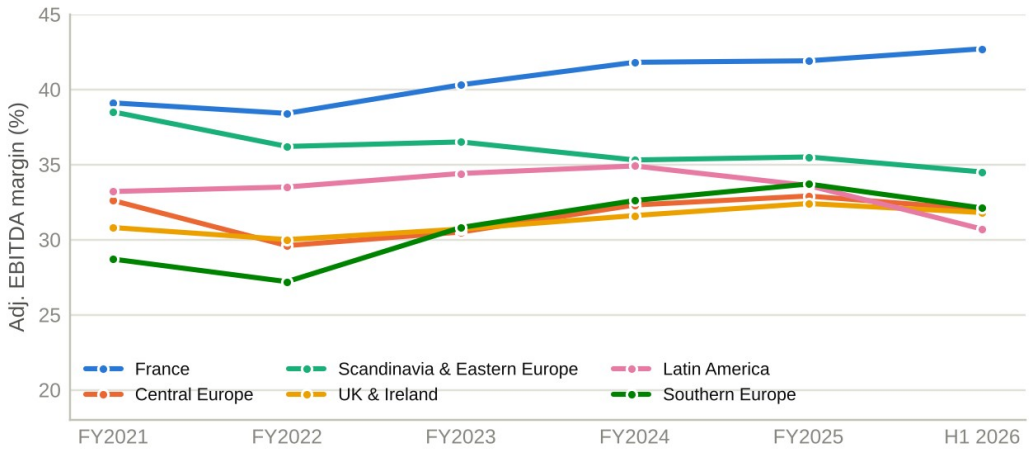
Segment	FY2021	FY2022	FY2023	FY2024	FY2025	H1 2026
France	39.1%	38.4%	40.3%	41.8%	41.9%	42.7%
Central Europe	32.6%	29.6%	30.5%	32.3%	32.9%	32.0%
Scandinavia & Eastern Europe	38.5%	36.2%	36.5%	35.3%	35.5%	34.5%
UK & Ireland	30.8%	30.0%	30.7%	31.6%	32.4%	31.8%
Latin America	33.2%	33.5%	34.4%	34.9%	33.6%	30.7%
Southern Europe	28.7%	27.2%	30.8%	32.6%	33.7%	32.1%
Group	34.5%	33.0%	34.2%	35.2%	35.4%	34.7%

Source: Elis annual and semi-annual reports and calls via ProntoNLP (sample citations — France: [#3400] [#5324] [#93]; Central Europe: [#3402] [#5331] [#100]; Scandinavia & Eastern Europe: [#3405] [#5331] [#115]; UK & Ireland: [#3407] [#5331] [#55]; Latin America: [#3407] [#5331] [#67]; Southern Europe: [#3418] [#5352] [#69]). Full citations per cell in model/F_segments_annual.csv.

Half-year revenue and adjusted EBITDA by segment (EUR m) — the only periods where € segment figures are retrievable

Segment	H1 2022	H1 2023	H1 2024	H1 2025	EBITDA H1 2025
France	564.0	640.3	663.2	683.8	285.8
Central Europe	410.7	497.3	556.8	605.5	196.7
Scandinavia & Eastern Europe	280.2	300.1	309.4	317.4	109.3
UK & Ireland	224.2	257.3	275.9	286.9	91.5
Latin America	141.0	213.7	232.3	218.6	71.0
Southern Europe	150.3	179.9	195.5	214.1	68.2
Group	1,783.8	2,101.3	2,246.7	2,343.1	813.8

Source: Elis semi-annual reports via ProntoNLP (model/F_segments_annual.csv). Full-year € segment revenue is only in non-indexed tables; FY2025 approximations are in Section 1.



Source: Elis annual/semi-annual reports and calls via ProntoNLP (worker F, model/F_segments_annual.csv). H1 margins are seasonally lower than full-year.

- **France** (≈29% of revenue): low growth (+2–3%) but margin up from 38.4% (2022) to 42.7% in H1 2026 — density, pricing and productivity.
- **Central Europe** (≈26%): the turnaround story — Germany margin +450bp in 2024 to ~29% [FY2024 call]; margin 32.9% in 2025 but slipping in H1 2026 on German minimum wages and public healthcare tenders.
- **Scandinavia & Eastern Europe**: the "cash cow", but margin has drifted from 38.5% (2021) to 34.5% (H1 2026) with Danish customer losses and weak volumes.
- **UK & Ireland**: the Berendsen legacy fixed — margin from ~23% pre-acquisition to 32.4% — but organic growth only ~2% and competition caps further gains.
- **Latin America**: highest growth (8–14% organic) but volatile margins (34.9% in 2024 → 30.7% in H1 2026: minimum wages, Mexico tender loss) and FX (−8% in 2025).
- **Southern Europe**: best improvement — margin 27.2% (2022) to 33.7% (2025) via density and bolt-ons.

7.3 Revenue by product line and end-market

Category	H1 2022 €m	H1 2024 €m	Share H1 2024	Change
Flat linen	752.5	1,021.0	45.4%	+35.7%
Workwear	670.7	826.8	36.8%	+23.3%
Hygiene & well-being	325.0	371.7	16.5%	+14.4%
Flat linen	752.5	n/a	0.0%	-100.0%
Workwear	670.7	n/a	0.0%	-100.0%
Hygiene & well-being	325.0	n/a	0.0%	-100.0%
Hospitality	417.6	559.3	24.9%	+33.9%
Industry	500.2	617.1	27.5%	+23.4%
Healthcare	514.4	672.3	29.9%	+30.7%
Trade & Services	351.7	417.7	18.6%	+18.8%
Healthcare	514.4	n/a	0.0%	-100.0%
Industry	500.2	n/a	0.0%	-100.0%
Hospitality	417.6	n/a	0.0%	-100.0%
Trade & Services	351.7	n/a	0.0%	-100.0%

Source: Elis semi-annual report revenue-disaggregation notes via ProntoNLP (worker F, model/F_product_endmarket.csv) [calc shares].

7.4 Operating KPIs and trends

KPI	Latest	Trend / comment
Organic growth	H1-26 +3.2%	Down from +21% (2022) to 3.8% (2025); price ≈ volume; 2027 guided "better"
Price contribution	~half of organic	~8 pts (2022), ~9 pts (2023), normalising to ~2 pts
Customer retention	~94%	Churn ~6% incl. failures; +~1 pt churn in 2023–24 from pricing [#452]
New signings	Record Q1-26	Q2 better; 3–4 months to invoice [#497]
Capex intensity	19.5% (H1-26)	18.0% (FY2025); guided ~18% for FY2026
D&A / revenue	19.7% (H1-26)	Peaked 2025 per management; limits EBIT leverage
FCF / adj. EBITDA	21% (FY2025)	H1-26 negative (−€30.1m)
DSO (company)	57 days (Jun-26)	vs 54 days a year earlier
Leverage	2.09x (Jun-26)	1.75x Dec-25; target ~1.65x Dec-26
Pre-tax ROCE	14.7% (FY2025)	Target >15% in 2026 [#270]
Network	>373 laundries; 6,000+ routes/day	11,800+ vehicles; 58,445 employees (S&P)
Energy hedging	93%/94% (2026)	81%/87% (2027), 61%/53% (2028) gas/electricity

Sources as cited and in Sections 3–4 and 8.

8. Earnings calls, sentiment and the latest result

8.1 What management has been focused on

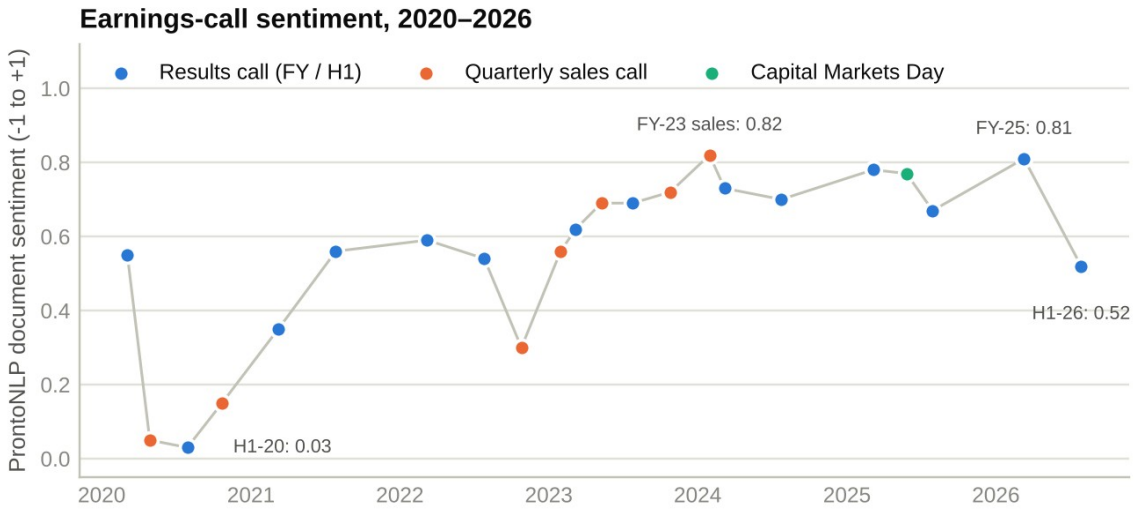
We read the last four results calls in full (H1 2026 earnings call, 29-Jul-2026, FY2025 earnings call, 11-Mar-2026, H1 2025 earnings call, 30-Jul-2025, FY2024 earnings call, 6-Mar-2025) and the H1 2024 call and Capital Markets Day, 27-May-2025 through keyword extraction and targeted reading. The narrative arc is clear: 2024 "records and upgrades" → 2025 "valuation gap and shareholder returns" → H1 2026 "resilience despite Mexico, macro and energy". Between FY2025 and H1 2026 the share of sentences on macro/geopolitics rose from ≤1.6% to 5.2%, Mexico from 0.45% to 3.8%, FCF/working capital to 4.0% and wage inflation to 2.4% (both series highs), while CSR/circularity fell from 6.1% to 2.2% [calc]. Analysts devoted 11.3% of their questions to contracts and volumes (≤3.8% previously).

Top themes by event (ProntoNLP document sentiment, −1 to +1)

Event	Sent.	Top themes (summary, with one representative citation each)
H1 2024 2024-07-24	0.7	Guidance upgrade: FY2024 organic raised to +5.2%-5.5% (from ~+5%) and adj EBITDA margin to 35.2%-35.5% (from ~35%); other objectives confirmed [#270] Pricing discipline and churn normalisation: Pricing offsets salary inflation; churn back to pre-2023 levels; pricing effect to ease as inflation slows [#26] Margin expansion, productivity and energy hedging: EBITDA EUR 774m, margin 34.5% (+120bp); hedging favourable; France margin +190bp [#19] Workwear-led commercial momentum: Strong workwear signings; Germany workwear +15%; record healthcare signings [#33] France political risk and Olympics: Stock -15% since dissolution called exaggerated; minimum-wage scenario +1-2% revenue at stable margin; Olympics weighed on Paris hospitality [#81]
FY2024 2025-03-06	0.78	Record year and valuation disconnect: Record KPIs; stock below 2019 level; EV/EBITDA and P/E ~9.6x [#19] New capital-allocation policy and EUR 150m buyback: Bolt-ons EUR 50-150m/yr; deleverage capped at ~0.1x/yr; remaining cash to shareholders; EUR 150m buyback; DPS EUR 0.45 (+5%) [#372] FY2025 guidance and pricing normalisation: Organic slightly below 4%; margins/EPS/FCF slightly up; pricing negotiations less easy; EUR 30m energy savings given back [#383] Germany turnaround: Margin +450bp to 29%; more to come [#122] Pest control and clean room growth: Clean room EUR 255m (+11%); pest control EUR 75m (+24%) [#79]
CMD 2025-05-27	0.77	2025-28 financial targets: +5% to +6% growth (CFO wrap-up says 5.5%-6%) incl. ~4% organic; ~+20bp EBITDA margin p.a.; EBITDA/EBIT/EPS faster than revenue; ~EUR 1.5bn cumulative FCF [#3206] Capital allocation: Bolt-ons up to EUR 150m EV (~EUR 100m avg); small deleveraging; buyback and/or special dividend yearly [#3239] Valuation gap: ~11x vs US peers; 4x below historical multiples [#3195] Large-M&A boundaries: Was ready to evaluate Vestis; nothing on the table for US; European large player below EUR 1bn turnover [#3277] Organic growth engine: Sales machine, outsourcing, small customers; analysts challenge 4% ambition [#514]
H1 2025 2025-07-30	0.67	LatAm margin squeeze and Mexico tender win: LatAm margin -220bp to 32.5% (minimum wage, hours, premiums); Brazil productivity; big Mexico public-hospital tender won ("massive", "super profitable"); H2 back to 2024 … [#85] Reaffirmed FY2025 guidance; calendar effects: Organic +3.5% (~4% ex calendar); all FY2025 objectives reaffirmed [#11] Margin vs D&A: EBITDA margin +30bp but EBIT margin -20bp (D&A 19.6%); linen capex normalising; D&A/sales peak 2025 [#12] Regional dispersion: Denmark losses, Scandinavia margin -50bp ("cash cow"); Southern Europe margin flat; UK subdued [#57] CMD targets and capital returns: 2025-28 targets restated; EUR 150m buyback (~4m shares at ~EUR 22 by June) [#262]
FY2025 2026-03-11	0.81	Record 2025: Revenue EUR 4,796.8m; adj EBITDA margin 35.4%; FCF EUR 358.6m; leverage 1.75x [#20] Capital returns step-up: DPS EUR 0.48 (+7%); buyback up to EUR 500m tied to OCEANE soft call (debt component EUR 362m); new EUR 500-600m bond [#505] Energy hedging and Middle East: 93%/94% hedged 2026; energy bill ~EUR 190m; no significant ME impact; fuel ~EUR 60m exposed [#446] FY2026 guidance: Organic slightly below 2025 (soft Q4-25 signings); slight margin expansion; HSD EPS; MSD FCF; ~1.65x [#464] M&A 2025: EUR 91m revenue acquired for EUR 108m (~1.2x sales, ~5x EBITDA pre-synergies) [#93]
H1 2026 2026-07-29	0.52	Mexico tender reset and LatAm margin: 50% of tender volume lost (~EUR 2m/month, ~EUR 14m FY26); LatAm margin -180bp; H2 decline more limited; recovery not in forecast [#136] Macro deterioration and resilience narrative: Record insolvencies France/Germany; organic >3% despite macro; France election risk downplayed [#59] Middle East cost inflation, hedging and cost savings: Spot energy +50%; 93-94% hedged 2026; other commodities EUR 7m H1; FY extra cost EUR 20-25m; ~EUR 10m mostly temporary savings plus surcharges [#73] Record contract signings and H2/2027 acceleration: Q1 record, Q2 better; 3-4 months to invoice; 2027 organic growth better with strong price indexation [#31] Wage pass-through lag: Germany and UK minimum wage hard to pass; LatAm wage inflation (Colombia +23%, Mexico +13%) [#111]

Source: ProntoNLP transcripts and document sentiment; worker A analysis (model/A_management_focus.json).

8.2 Sentiment: how tone has shifted



Source: ProntoNLP getDocuments document-level sentimentScore for Elis SA calls (companyId 27989); see provenance M-005 and A_earnings.

Source: ProntoNLP document-level sentiment scores (getDocuments / getAnalytics).

- Tone recovered from the Covid trough (H1 2020 score 0.03) to a 0.62–0.88 plateau through 2023–FY2025, peaking with the record FY2025 call (0.81).
- The **H1 2026 call scored 0.52** — the lowest results-call score since FY2020 — and the investment score fell from 0.83 to 0.2. The Forecast aspect halved (0.83→0.41) and CurrentState fell 0.75→0.40, while StrategicPosition barely moved (0.97→0.93): the market heard a near-term problem, not a strategic one.
- **The drop came from management, not from the Q&A**: executive sentiment fell from 0.82 to 0.54 (negative events 53→90) while analysts stayed neutral. New negative event types: OperationalChallenge and CostChallenge; Debt turned from 0.96 to 0.13.
- The 55 negative sentences cluster around: macro and insolvencies [#59]; Middle East energy and commodities (€20–25m for the year) [#73] [#464]; minimum wages not yet passed through [#111] [#147]; the Mexico tender loss [#139] [#377]; cash and leverage [#26] [#276]; and the absence of 2027 guidance [#521].

8.3 H1 2026 (reported 29-Jul-2026): the numbers

Metric	H1 2026	Change / context	Source
Revenue	€2,457.1m	+4.9% reported; +3.2% organic (Q1 +3.1%, Q2 +3.2%); M&A +1.1pp; FX +0.6pp	[#8] [#20] [#201] [#46] [#200]
Adjusted EBITDA	€853.8m	Margin 34.7%, flat (H1 2025: €813.8m, 34.7%)	[#9] [#212]
Adjusted EBIT	€370.0m	+4.6%; margin 15.1%, flat; D&A 19.7% of revenue	[#11] [#23]
Operating income (IFRS)	€300.2m	+7.1%; IFRS 2 charge €16.3m (vs €21.1m); PPA amortisation €40.2m	[#224]
Net financial expense	€73.9m	vs €64.9m (+€9m: higher debt and coupons)	[#226] [#83]
Net income (IFRS)	€163.6m	+7.3% vs restated €152.4m; ETR 27.7% (29.3%)	[#13] [#86]
Headline net income	€215.5m	+1.1%	[#14] [#236]
Headline EPS (diluted)	€0.89	+5.1% (basic €0.96, +5.3%); diluted share count −3.6%	[#15] [#89]
Net capex	€479.1m	19.5% of revenue vs 18.4%	[#246] [#90]
Working capital change	−€164.0m	vs −€113m; DSO 57 days vs 54	[#93] [#251]
Free cash flow (after leases)	−€30.1m	vs +€31m in H1 2025 — first negative H1 in the sample	[#16] [#97]
Net financial debt	€3,670.3m	vs €3,020.2m (Dec-25); leverage 2.09x vs 1.75x	[#103] [#104] [#17]
Shareholder returns	€572m	Buyback €466.8m at €26.25 (programme completed 9-Jul-2026) + dividend €105.6m (€0.48)	[#292] [#17] [#294] [#105]

Source: H1 2026 semi-annual report and H1 2026 earnings call, 29-Jul-2026 (company figures; the call transcript contains several transcription errors — e.g. "35.7%" margin, "€317m" EBIT, "2.9x" leverage — so semi-annual-report figures are used).

Versus consensus

Revenue was in line: Q1 €1,180.5m vs €1,183.1m expected (−0.22%) and Q2 €1,276.6m vs €1,274.8m (+0.14%), i.e. H1 −0.03% vs consensus [calc] (ProntoNLP consensus, quarterly revenue only). Profit consensus (EBITDA, EBIT, EPS) is not available in S&P Capital IQ or ProntoNLP for Elis, so we cannot state an EBITDA or EPS beat/miss; on our reading, headline EPS growth of +5.1% was below the "high single-digit" full-year guide, putting the burden on H2.

Segment drivers

Region	Reported	Organic	Adj. EBITDA margin	Change
France	+2.5%	+2.0%	42.7%	+90bp
Central Europe	+5.9%	+3.2%	32.0%	-30bp
Scandinavia & Eastern Europe	+3.4%	+1.6%	34.5%	+10bp
UK & Ireland	-0.8%	+1.6%	31.8%	-10bp
Latin America	+15.4%	+8.0%	30.7%	-180bp
Southern Europe	+8.1%	+5.7%	32.1%	+30bp

Source: H1 2026 semi-annual report; H1 2026 earnings call, 29-Jul-2026. "Others" (manufacturing entities, holdings, Asia) is only in non-indexed tables.

- **Acceleration:** Southern Europe (+5.7% organic, margin +30bp) and Central Europe ex-acquisitions; Latin America still grew +8.0% organically (Brazil +8.6%).
- **Deceleration:** France slowed to +2.0% organic (hospitality softness, Paris occupancy) but expanded margin +90bp to 42.7%; UK & Ireland and Scandinavia only +1.6% organic.
- **The problem child: Latin America.** The Mexican federal healthcare tender was re-run as multi-lot and Elis lost about half the volume (~€2m a month from June, ~€14m in FY2026); recovery is not in the forecast [#137] [#377]. Combined with minimum-wage hikes (+23% Colombia, +13% Mexico) the LatAm margin fell 180bp to 30.7%, reversing March guidance that it would be "at least flat" [#580] [#558]. The semi-annual report notes impairment indicators in the Mexico and Chile CGUs, with no impairment booked [#329].

Margins

Adjusted EBITDA and EBIT margins were both flat (34.7%/15.1%). Pricing (slightly more than half of organic growth) covered ~4% wage inflation; Middle East energy, fuel, paper and chemicals cost ~€7m in H1, offset by ~€10m of mostly temporary savings [#75] [#460]; D&A edged up to 19.7% of revenue. Note the pattern: adjusted EBIT grew more slowly than revenue in both FY2025 (+4.6% vs +4.9%) and H1 2026 (+4.6% vs +4.9%), against the CMD promise that EBIT would grow faster than revenue [calc].

Guidance and outlook

Issued	Metric	Guidance	Status / outcome
2025-05-27	Revenue growth	+5% to +6% p.a. at constant FX (~4% organic + 1-2% M&A); CFO wrap-up says "5.5% to 6%"	2025: +5.5% cFX, organic 3.8%; 2026 guide organic slightly below 3.8% -> organic below CMD 4% two years running [calc]
2025-05-27	Adj EBITDA margin	~+20bp p.a. on average	2025 +20bp; H1 2026 flat; FY2026 guide "slight expansion"
2025-05-27	EBIT and EPS vs revenue	EBITDA/EBIT/EPS to grow faster than revenue	2025 adj EBIT +4.6% vs revenue +4.9% (slower); H1 2026 EBIT +4.6% vs revenue +4.9% (slower); diluted headline EPS faster in both [calc]
2025-05-27	Cumulative FCF	~EUR 1.5bn over 4 years (+35% vs EUR 1.1bn prior 4 yrs)	2025 EUR 358.6m; requires ~EUR 380m avg 2026-28 [calc]
2026-03-11	Organic growth	slightly below 2025 level (3.8%)	H1 2026 3.2%; reaffirmed 29-Jul-2026 (had been tracking ahead before Mexico)
2026-03-11	Adj EBITDA & EBIT margins	slight expansion	H1 2026 both flat (34.7% / 15.1%); reaffirmed
2026-03-11	Diluted headline EPS	high single-digit growth	H1 2026 +5.1%; reaffirmed (share count -~5% diluted avg by YE)
2026-03-11	Free cash flow	mid-single-digit growth	H1 2026 EUR -30.1m (H1 2025 +31m); reaffirmed
2026-03-11	Leverage	~1.65x at YE2026 (~-0.1x)	2.09x at 30-Jun-2026; reaffirmed; relies on OCEANE 2029 conversion (debt component EUR 362m)

Issued	Metric	Guidance	Status / outcome
2026-03-11	Share buyback	up to EUR 500m	completed 9-Jul-2026 [#17]
2026-03-11	LatAm margin	at least 2025 level, more probably better	H1 2026 -180bp; H2 decline expected, more limited -> REVERSED
2026-03-11	German healthcare contract	~EUR 30m per year, start Oct/Nov 2026	29-Jul-2026: ~EUR 20m additional revenue in 2027, implementation late H2 [#108] [#47] [#48](https:
2026-05-04	All objectives	confirmed	
2026-07-29	All objectives	confirmed unchanged vs March	
2026-07-29	Capex	~18% of revenue by YE (SR) / just above 18% (call)	H1 19.5%
2026-07-29	Organic growth (qualitative)	"organic growth will be better in 27" (no formal guidance)	

Source: worker A guidance history (model/A_guidance_history.csv), compiled from Elis calls and filings via ProntoNLP.

All FY2026 objectives were confirmed, not raised [#342]: organic growth slightly below 2025's 3.8%, slight expansion of EBITDA and EBIT margins, high-single-digit growth in diluted headline EPS, mid-single-digit FCF growth and leverage of ~1.65x at year-end. The tone was weaker in the detail: organic growth had been "tracking ahead" until Mexico [#330]; the large German healthcare contract slipped from ~€30m a year [#625] to ~€20m of revenue in 2027 [#108]; the 2027 energy saving shrank from €10–15m [#641] to slightly below €10m [#599]. The positives: record signings in Q1, a better Q2 [#497], strong index-linked pricing for 2027 [#472] and "organic growth will be better in '27" [#524].

Balance-sheet and cash-flow flags

- **OCEANE 2029 soft call / leverage target dependency (high):** YE2026 ~1.65x leverage target and the EUR 500m buyback were sized on conversion of the OCEANE 2029 (debt component EUR 362m). Soft call possible from Oct-2026 at 130% of par (CFO: ~EUR 21.5). After the 28-May-2026 adjustment (6,256.8564 shares per bond; 3,800 bonds = 23,776,054 shares) implied conversion price ~EUR 15.98 and 130… [#513] [#514]
- **First negative H1 FCF in sample; FCF bridge (high):** H1 FCF EUR -30.1m vs +31m H1 2025 and +55.5m H1 2024 (H1 2023 EUR 17m): swing EUR -61.1m [calc] = CF before fin/tax +33.9m, net capex -47.3m, WC -51.0m, net interest +14.2m, tax -7.1m, leases -3.8m [calc]. Management: timing only; nearly all FCF generated in H2; FY MSD growth reaffirmed. [#16] [#90]
- **Working capital: inventory build and DSO deterioration (medium):** WC change EUR -164.0m (vs -113m): flat-linen and workwear inventory build plus DSO 57 days (vs 54). CFO: "a couple of days", ~60 days group level, not to over-read. Credit-risk vigilance strengthened in Mexico. Securitisation programme (France, up to EUR 200m, since Jun-2023) and supplier-finance programme exist; utilisation not… [#93] [#253]
- **Leverage jump (high):** Leverage 2.09x at 30-Jun-2026 vs 1.75x Dec-2025 and 1.92x Jun-2025; net debt +EUR 650m in H1 (buyback 466.8m, dividend 105.6m, M&A 36m, negative FCF). CFO: 2026 "not exactly a normative year". Covenant <3.75x (RCF/USPP). [#103] [#104]
- **Mexico tender reset and impairment indicators (high):** Mexico federal healthcare tender re-run as multi-lot: 50% of volume lost (~EUR 2m/month from June; ~EUR 14m 2026); not in forecast to recover. Months earlier the tender win was "massive... super profitable" and Q1 2026 Mexico organic was ~+16%. SR: impairment indicators at Mexico (tenders not renewed) and Chile (EBITDA <90% of b… [#136] [#137]
- **Guidance credibility versus CMD and LatAm commentary (medium):** FY2025 adj EBIT margin flat at 16.0% vs "slightly up" guided; adj EBIT grew slower than revenue in FY2025 and H1 2026 vs CMD target of faster; organic below ~4% CMD target in 2025 and guided below again in 2026; LatAm 2026 margin guided flat-to-up in March, -180bp in H1 with further H2 decline expected; German healthcare contrac… [#384] [#27]
- **Accounting/restatements and one-offs (medium):** H1 2025 restated under IFRS 3 (Neutral PPA; NI 152.5m published -> 152.4m); FY2024 restated under IFRS 3 (Carsan, Wasned, Ernst); IFRS 9/7 amendment cut opening 2026 cash by EUR 1.8m (non-retrospective); IFRS 18 from 2027. FY2025 non-current income included ~EUR 25m insurance compensation; FY2025 IFRS 2 EUR 46m incl. one-offs; H… [#251] [#254]
- **Source inconsistencies on bonds (medium):** SR: early refinancing in Nov-2025 of the EUR 600m bond originally maturing Mar-2026. FY2025 call: early repayment of a EUR 350m bond maturing Feb-2026 and a EUR 350m 3.375% Sep-2031 issue. Cannot reconcile from prose; flag for capital-structure workstream. [#95] [#326]

Market reaction

Event	Reaction day	Open gap	Day 1	z-score	5 days
Q3 2024 revenue	2024-10-31	-0.20%	+3.90%	2.5	+7.59%
FY2024 results	2025-03-06	+4.57%	+9.05%	5.7	+8.95%
Q1 2025 revenue	2025-05-06	-0.17%	-1.30%	-0.8	-1.30%
Capital Markets Day	2025-05-27	+0.34%	+2.13%	1.3	+1.96%
H1 2025 results	2025-07-31	-2.52%	-1.54%	-1.0	-0.81%
FY2025 revenue (Q4-25)	2026-01-30	+0.16%	+0.91%	0.6	+6.92%
FY2025 results	2026-03-11	+7.74%	+3.19%	2.0	+2.47%
Q1 2026 revenue	2026-05-05	+1.38%	+3.23%	2.0	+5.38%
H1 2026 results	2026-07-30	-4.14%	-5.68%	-3.6	-3.91%

Source: ProntoNLP daily prices; timing from call times and consensus timestamps; moves and z-scores are analyst calculations (daily s.d. 1.59%).

H1 2026 was in line on revenue with guidance intact, yet produced the worst results-day move in three years (−5.68%, z-score −3.6) and the shares are 18.4% below the pre-results close [calc]. What was priced in at €28 in early July was a clean H2 acceleration plus continued buyback support; the result removed the first (Mexico, flat margins, negative H1 FCF, 2.09x leverage) just as the second ended (buyback completed 9-Jul). The reaction is consistent with a de-rating of "quality" rather than a cut to earnings — our base case has FY2026E headline EPS only ~2% below the guidance mid-point (Section 9).

What looks unusual versus recent history

- First negative H1 free cash flow in the 2023–2026 sample (−€30.1m), driven by capex phasing (+€47m) and working capital (−€51m) [calc].
- Leverage up 0.34x in six months to 2.09x — the year-end ~1.65x target relies on the OCEANE 2029 being converted (debt component €362m) [#517], which in turn needs the share price to stay above the ~€20.8 soft-call trigger [calc] (Section 10).
- A reversal of explicit March guidance on LatAm margins within five months, plus impairment indicators in two CGUs.
- Management changes announced in the semi-annual report but not discussed on the call: Matthieu Lecharny leaves the Management Board; Yann Michel (Group COO) joins; Xavier Martiré and Louis Guyot reappointed for four years from 5-Sep-2026 [#139] [#142].
- Register churn: CPP Investments fell below 10% (Feb) and 5% (Jul) of the capital, while Invesco crossed 5% and 10% and BWGI's holding moved around 20% of voting rights [#166] [#167].

9. EPS estimates, FY2026E–FY2028E

We forecast headline diluted EPS (the company's KPI, excluding amortisation of acquired customer relationships, IFRS 2 charges and non-recurring items) and reconcile to IFRS EPS. No forward EPS consensus is available for Elis in S&P Capital IQ or ProntoNLP, so our estimates are compared with company guidance and the 2025–28 Capital Markets Day framework.

Base-case forecast (EUR m unless stated)

	FY2025A	FY2026E	FY2027E	FY2028E
Revenue	4,796.8	5,002	5,242	5,504
growth (organic + M&A + FX)	+4.9%	+4.3%	+4.8%	+5.0%
Adj. EBITDA	1,700.1	1,773	1,866	1,968
margin	35.4%	35.4%	35.6%	35.8%
Adj. EBIT	766.6	798	849	903
margin	16.0%	16.0%	16.2%	16.4%
Net financial expense (headline)	~131	155	150	150
Tax rate (headline)	~26.5%	27.0%	27.0%	27.0%
Headline net income	467.3	470	510	549
Diluted shares (m)	259.1	244.2	239.0	234.8
Headline diluted EPS (€)	1.85	1.96	2.14	2.34
growth	+5.2%	+5.9%	+8.9%	+9.6%
IFRS diluted EPS (€) [e]	1.46	1.58	1.77	1.97
P/E (headline) at €21.26	11.5x	10.8x	10.0x	9.1x

FY2025A: Elis (adj. EBITDA €1,700.1m [#5321]; headline NI €467.3m [#279]; headline diluted EPS €1.85 [#28]); diluted shares S&P weighted average 259.1m. Estimates [e]: model/main_forecast.py.

Building blocks

- **Industry growth and market share:** European textile services grow roughly with GDP plus outsourcing; Elis targets ~4% organic (CMD). We model organic +3.3% in 2026 (H1 +3.2%; Mexico −€14m), 3.8% in 2027 (record signings, German healthcare contract ~€20m [#108]) and 4.0% in 2028, plus ~1pt of bolt-on M&A a year (budget €50–150m at ~1.2x sales) and neutral FX after 2026.
- **Price increases vs cost pressure:** wages ~+4% a year (~60% of costs) need ~1.7% price to neutralise; end-2026 indices are "strong". We assume price slightly above cost inflation from 2027, giving +15–20bp a year of EBITDA margin (CMD target ~20bp).
- **Operating leverage:** D&A stays ~19.4–19.6% of revenue, so adjusted EBIT margin rises only from 16.0% to 16.4% by 2028. 2026 includes €20–25m of Middle East energy/commodity costs, half offset.
- **Financing costs:** net financial expense rises from ~€131m (2025) to ~€155m (2026) on buyback debt and the €600m 3.875% March-2026 bond, then ~€150m as the OCEANE converts (removing ~€362m of debt) and the 4.125% 2027 bond is refinanced.
- **Share count:** the €466.8m buyback (17.8m shares at €26.25) cuts the diluted count ~5% on average in 2026 and ~7% in 2027; the OCEANE's 23.8m shares are already in the diluted count and will be delivered largely from treasury. We assume €100m a year of buybacks in 2027–28.

Scenario EPS paths (headline diluted)

Scenario	FY2026E	FY2027E	FY2028E
Bear	€1.91 (+3.0%)	€1.91 (+0.2%)	€1.95 (+2.1%)
Base	€1.96 (+5.9%)	€2.14 (+8.9%)	€2.34 (+9.6%)
Bull	€2.00 (+8.2%)	€2.27 (+13.6%)	€2.64 (+15.9%)

> **Versus guidance**
>
> Management guides "high single-digit" headline EPS growth for 2026 (≈€1.98–2.02). Our €1.96 (+5.9%) is ~2% below

> the mid-point because H1 grew only +5.1% and H2 carries higher interest and energy costs. Our 2027–28 numbers (+9–10% a year) sit within the CMD ambition that EPS grows faster than revenue, helped by the buyback.

10. Capital structure, debt, covenants and liquidity

€3,670m
Net financial debt excl. IFRS 16, 30-Jun-2026 (Dec-25: €3,020m)

2.09x
Leverage (covenant definition); covenant <3.75x

€1.35bn
Liquidity: €447m cash + €900m undrawn RCF

BBB- / Baa3
S&P / Moody's, both stable

S&P Capital IQ shows total debt including leases of €4,816.9m and net debt of €4,370.3m at 30-Jun-2026 (of which ~€700m IFRS 16 lease liabilities), against €3,723.4m at Dec-2025. On the company definition (excluding leases) net financial debt was €3,670.3m, up €650m in six months: buyback €466.8m, dividend €105.6m, M&A €36m and negative FCF [#103] [#104].

Debt instruments

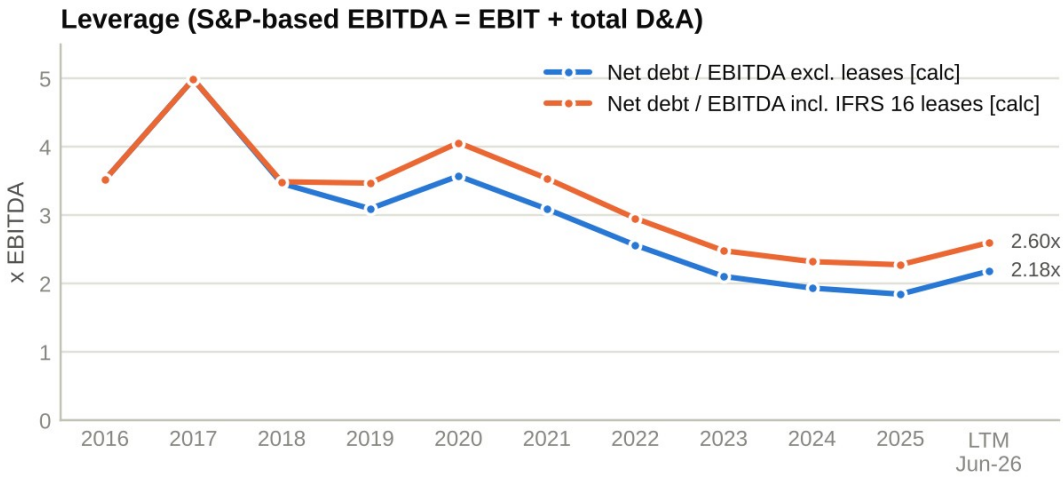
Instrument	Issued	Amount	Coupon	Maturity	Status / terms
EMTN bond (2019 tranche + 2021 tap)	2019-10-03 (EUR350m);	550.0m EUR	1.625%	2028-04	Outstanding at 31-Dec-2025; 8.5-year tranche; EUR4bn EMTN programme [#6093]
EMTN bond	2022-05-17	300.0m EUR	4.125%	2027-05-24	Outstanding; to be refinanced with Mar-2026 issue proceeds; 5-year [#6093]
EMTN bond	2024-03 (dated 14-Mar-	400.0m EUR	3.75%	2030 (6-year)	Outstanding; Refinanced EUR500m bond repaid Apr-2024 [#6093]
EMTN bond (series 8)	Priced 2025-08-26; set	350.0m EUR	3.375%	2031-09-02	Outstanding; Re-offer price 99.925%; re-offer yield 3.389%; gross proceeds EUR348.075m; underwriting 0.375%; refinanced EUR350m bond due 15-Feb-2026 (early redeemed 18-No [#1345]
EMTN bond	2026-03-16	600.0m EUR	3.875%	2032-03 (6-year)	Outstanding; Senior unsecured; proceeds to refinance EUR300m May-2027 bond and fund 2026 buyback [#267]
EMTN bond (repaid)	n/a	500.0m EUR	n/a	2024-04	Repaid at maturity Apr-2024; [#3465]
EMTN bond (repaid)	2019-10-03 tranche	500.0m EUR	n/a	2025-04	Repaid at maturity H1 2025; [#5390]
EMTN bond (early redeemed)	n/a	350.0m EUR	n/a	2026-02-15	Early redeemed 2025-11-18; NB: H1-2026 SR describes 'early refinancing, in November 2025, of the 600 million euros bond originally maturing in March 2026' - inconsistent [#5314]
OCANE 2029 (convertible/exchangeable)	2022-09-22	380.0m EUR	Not in retrieved text	2029-09-22	Outstanding; Elis intends to exercise soft call effective from mid-Oct-2026; Conversion ratio 6,146.2538 shares/bond from 28-May-2025, 6,256.8564 from 28-May-2026; holder [#6079]
USPP (euro tranche)	2019-04	300.0m EUR	2.70%	2029 (10-year)	Outstanding; Covenant <3.75x half-yearly [#6437]
USPP (USD tranche)	2019-04	40.0m USD	4.99%	2029 (10-year)	Outstanding; USD debt fully swapped into EUR via cross-currency swaps [#6437]
USPP notes (USD)	n/a (10-year to June 2	Not in retrieved text USD	4.32%	2032-06	Outstanding; Swapped into EUR [#6071]
USPP notes (USD)	n/a (12-year to July 2	Not in retrieved text (EUR183.4m after swap per adjacent sentence) USD	6.03% (USD); 5.21% final EUR c	2035-07	Outstanding; 'fully converted into euros for a total amount of 183.4 million ... final 5.21% coupon in euros' (sentence follows the 2035 notes description) [#6075]
Syndicated RCF (sustainability-linked)	2021-11-09	900.0m (870.0m from Nov-2027 to Nov-2028) EUR	Margin indexed to S&P/Moody's	2027-11 (EUR900m) / 20	Undrawn at 31-Dec-2025 and 30-Jun-2026; 13 banks; 5-year + two 1-year extension options; back-up for CP; 2030 climate goals in margin since Dec-2023; covenant <3.75x [#6447]

Instrument	Issued	Amount	Coupon	Maturity	Status / terms
NEU CP (commercial paper)	Programme	up to 600.0m EUR	Variable/ short-term	<1 year	Issuance +EUR262.1m in 2025; Rated Prime-3 by Moody's since 10-Apr-2025 (another URD passage calls it unrated) [#6097]
NEU MTN	Programme since 2021-0	up to 200.0m EUR	n/a	18 months - 3 years	Issuance EUR80.0m in 2025; Rated Prime-3 by Moody's since 10-Apr-2025 (another passage: unrated) [#6094]
Trade receivables securitisation (France)	2023-06-12	up to 200.0m (drawn 200.0m at 31-Dec-2025; 199.9m 2024; 177.5m 2023) EUR	Variable (only significant var	5-year programme; show	Outstanding; [#6108]
Bridge facility (Berendsen)	2017-09	2,000m EUR	n/a	n/a	Refinanced in under 4 months; [#1982]
Financial covenant (RCF, USPP)	n/a	n/a n/a	n/a	Half-yearly tests	1.75x at 31-Dec-2025; 2.09x at 30-Jun-2026 (Elis leverage ratio); Total net leverage (net debt as defined / pro forma EBITDA after synergies) <3.75x; negative pledge; cro [#6796]

Source: Elis URD 2025 and H1 2026 report via ProntoNLP (worker C, model/C_debt_instruments.csv). Note: sources disagree on which 2026 bond was refinanced early (€350m Feb-2026 per the FY2025 call vs "€600m" in the SR).

Maturities, covenants, cost and liquidity

- **Maturity profile** (bonds/USPP): 2027 €300m (4.125%, pre-funded by the March-2026 bond); 2028 €550m (1.625%); 2029 €300m USPP + $40m and the €380m OCEANE; 2030 €400m (3.75%); 2031 €350m (3.375%); 2032 €600m (3.875%) and USD USPP; 2035 USD USPP (5.21% EUR-swapped). Short-term: NEU CP (up to €600m), NEU MTN and a €200m receivables securitisation.
- **Covenant:** a single total-net-leverage covenant (<3.75x, tested half-yearly) on the RCF and USPP; headroom is ample at 2.09x [#6796].
- **Cost of debt:** the cheap 2019–21 bonds (1.6–2.7%) are being replaced at 3.4–3.9%; net financial expense rose from €88m (2020) to ~€131m (2025) and €73.9m in H1 2026 alone (+€9m YoY). Guided net interest paid ~€90m for 2026.
- **OCEANE 2029:** €380m, conversion ratio 6,256.86 shares per €100k (≈€15.98 per share; 23.8m shares). Soft call from 13-Oct-2026 if the share price exceeds 130% of the conversion price (~€20.8) [calc]; management intends to call and settle with treasury shares. If the stock stays below the trigger, the leverage target slips by ~0.2x [e] and the holder put on 22-Sep-2027 becomes relevant.
- **Ratings:** S&P BB+ → BBB- (Nov-2023); Moody's Ba1 → Baa3 (Nov-2024); Morningstar DBRS BBB. Keeping investment grade is an explicit policy constraint.
- **Liquidity:** €447m cash plus an undrawn €900m sustainability-linked RCF (€870m from Nov-2027 to Nov-2028) cover all maturities to 2028.



Source: S&P Capital IQ (Elis SA, C_27989) — source link unavailable; analyst calculations [calc].

11. Valuation: peers, history and regression

11.1 Competitors: listed and private

Company	Ticker	Listed?	Relevance
Cintas Corporation	CTAS US	Listed (Nasdaq)	US #1 uniform rental; acquiring UniFirst
UniFirst Corporation	UNF US	Listed (NYSE), being acquired	US uniform rental; Cintas deal $5.5bn
Vestis Corporation	VSTS US	Listed (NYSE)	Ex-Aramark Uniform; received preliminary proposals (2024)
Johnson Service Group PLC	JSG LN	Listed (LSE)	UK linen & workwear — closest direct competitor in the UK
Rentokil Initial plc	RTO LN	Listed (LSE)	Hygiene & pest control competitor
Sodexo S.A.	SW FP	Listed (Euronext)	Facility services; also an Elis customer
ISS A/S	ISS DC	Listed (Copenhagen)	Facility services (adjacent)
Aramark	ARMK US	Listed (NYSE)	Food/facility services (adjacent)
Compass, ABM, Ecolab, Bunzl	CPG LN, ABM US, ECL US, BNZL LN	Listed	Broader business-services / hygiene comparables
Alsco	—	Private	US/LatAm linen & uniform rental; mentioned as a competitor in Brazil (worker C, I13)
Lindström, CWS (Haniel), Mewa, Salesianer Miettex	—	Private [u]	Large European textile-service groups; not mentioned in permitted sources — listed from general knowledge [u]
Local family laundries; in-house hospital laundries	—	Private	Main fragmented competition and bolt-on targets [#1902]

11.2 Current multiples (LTM, S&P-standardised)

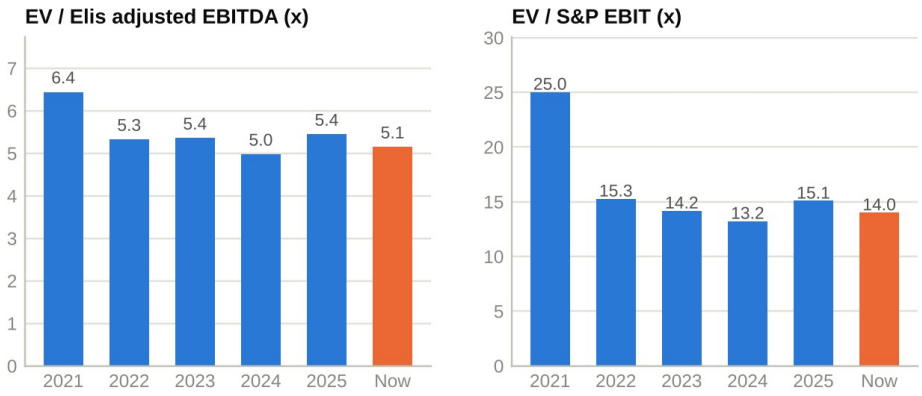
Company	Ticker	Group	EV/Sales	EV/ EBITDA	EV/EBIT	P/E	ND/ EBITDA	EBITDA m.	EBIT m.	Sales gr.	FCF yld
Elis SA	ELIS	Elis	1.82x	5.9x	14.0x	12.2x	2.9x	31.1%	13.0%	+4.9%	12.4%
Cintas Corporation	CTAS	Direct – rental	7.16x	26.6x	30.3x	39.0x	0.8x	26.9%	23.6%	+8.9%	2.5%
UniFirst Corporation	UNF	Direct – rental	1.85x	15.7x	30.8x	40.5x	-0.3x	11.7%	6.0%	+0.2%	1.9%
Vestis Corporation	VSTS	Direct – rental	1.14x	12.2x	27.4x	n/m	5.1x	9.3%	4.2%	-2.5%	7.6%
Rentokil Initial plc	RTO	Direct – hygiene	1.96x	11.1x	15.2x	21.5x	2.9x	17.6%	12.9%	+4.4%	7.5%
Johnson Service Group PLC	JSG	Direct – rental	1.29x	4.3x	10.4x	13.4x	1.2x	30.2%	12.4%	+4.3%	8.1%
Aramark	ARMK	Broader	1.03x	14.2x	22.2x	37.8x	4.1x	7.3%	4.7%	+6.4%	3.0%
Sodexo S.A.	SW	Broader	0.53x	11.1x	15.0x	18.6x	3.7x	4.8%	3.5%	+1.2%	7.5%
ISS A/S	ISS	Broader	0.70x	12.9x	14.3x	16.3x	3.3x	5.4%	4.9%	+1.1%	9.9%
Compass Group PLC	CPG	Broader	1.21x	15.4x	18.3x	24.8x	2.3x	7.9%	6.6%	+9.7%	5.9%
ABM Industries Incorporated	ABM	Broader	0.51x	10.2x	13.5x	17.5x	3.9x	5.0%	3.8%	+4.6%	10.7%
Ecolab Inc.	ECL	Broader	5.21x	21.2x	28.3x	37.3x	2.1x	24.6%	18.4%	+2.2%	2.4%
Bunzl plc	BNZL	Broader	0.89x	10.8x	13.4x	17.3x	2.2x	8.2%	6.6%	+0.6%	11.2%

Source: S&P Capital IQ LTM line items (revenue, S&P EBITDA/EBIT, net income, net debt incl. leases, CFO, capex; company name links to the Capital IQ source document where returned) and ProntoNLP market capitalisation (getCompanies). Elis market cap = 215.9m shares × €21.26. EV = market cap + net debt + minorities [calc]. S&P EBITDA is not company "adjusted EBITDA". Fiscal periods differ (e.g. Cintas Aug-26, Sodexo Feb-26). No forward consensus was retrievable for these peers.

Elis versus peer medians

Metric	Elis	Direct-peer median	All-peer median	vs direct	vs all
EV/Sales	1.82x	1.85x	1.18x	-1%	+55%
EV/EBITDA	5.9x	12.2x	12.6x	-52%	-53%
EV/EBIT	14.0x	27.4x	16.8x	-49%	-16%
P/E	12.2x	30.3x	21.5x	-60%	-43%
EBIT margin	13.0%	12.4%	6.3%		

11.3 Elis versus its own history



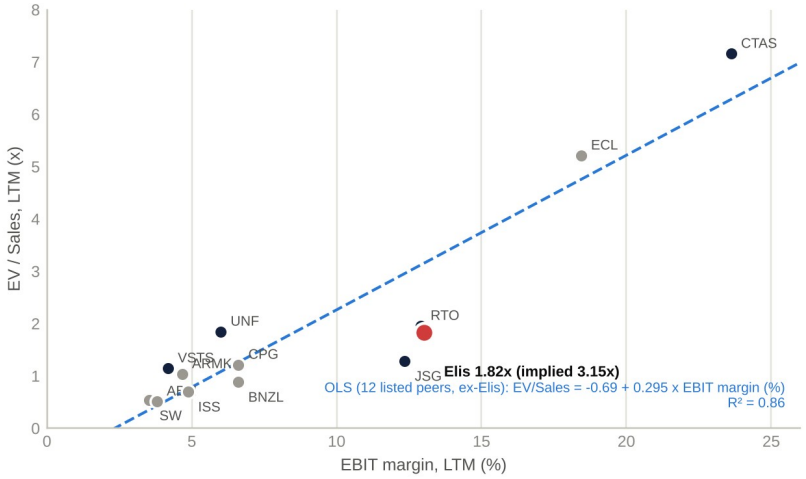
Year-end price x shares + S&P net debt incl. leases; current = 215.9m shares x €21.26 + net debt €3,670m + leases €700m [calc]. Early-year prices partly dividend-adjusted.

Year-end	Price €	EV €m	EV/Sales	EV/adj. EBITDA	EV/EBIT	P/E IFRS	P/E headline
2021	14.20	6,778	2.22x	6.4x	25.0x	28.4x	n/a
2022	13.24	6,709	1.76x	5.3x	15.3x	15.6x	n/a
2023	18.54	7,901	1.83x	5.4x	14.2x	17.5x	n/a
2024	18.48	8,014	1.75x	5.0x	13.2x	13.7x	10.5x
2025	23.82	9,261	1.93x	5.4x	15.1x	16.3x	12.9x
Current (9-Oct-26)	21.26	8,961	1.82x	5.1x	14.0x	13.9x	11.2x

Year-end ProntoNLP close × S&P shares outstanding + S&P net debt incl. leases; S&P EBIT and diluted EPS; company adjusted EBITDA and headline EPS [calc]. Early-year prices are partly dividend-adjusted, slightly understating 2021–22 multiples. Management cited ~9.6x EV/EBITDA and P/E at the FY2024 call (company definitions).

Verdict: cheap versus peers and at the low end of its own range, fair on returns. At 5.2x EV/adjusted EBITDA Elis is in the bottom half of its five-year range (5.0–6.4x) and ~20–25% below US/UK rental peers on EV/EBIT; on P/E (11x headline, 14x IFRS) it is roughly half the peer median. The discount is partly deserved — EBITDA is inflated by linen depreciation (capex ~18% of sales), ROIC is ~7% and growth has slowed — but on EV/EBIT and FCF yield (~8%) the stock still screens cheap.

11.4 Regression: EV/Sales versus EBIT margin



Source: S&P Capital IQ LTM financials (S&P-standardised EBIT, net debt incl. leases); ProntoNLP market caps; analyst regression [calc]. Navy = direct textile/hygiene-service peers; grey = broader services.

Across 12 listed peers (ex-Elis) the OLS fit is EV/Sales = -0.69 + 0.295 × EBIT margin (%), R² = 0.86 [calc]. At Elis's LTM S&P EBIT margin of 13.0% the line implies 3.15x sales against an actual 1.82x — a ~42% discount, equivalent to ~€50 a share if fully closed [calc]. Caveats: the fit is pulled up by Cintas and Ecolab (high-margin, high-growth US compounders); among direct rental peers alone Elis sits next to Rentokil (1.96x at a similar margin) and above JSG (1.29x). We therefore treat the regression as evidence of relative cheapness, not a target.

12. M&A: the industry, Elis as a target, and Elis as an acquirer

12.1 Recent industry M&A

The defining deal is in the US: Cintas agreed to buy UniFirst for $310 a share ($155 cash + 0.7720 Cintas shares), ~$5.5bn, after two rejected approaches; shareholders approved on 11-Jun-2026 and the FTC issued a Second Request, with closing no earlier than 11-Dec-2026. At ~$5.5bn against UniFirst's S&P LTM EBITDA of ~$293m, the price is ~19x EBITDA (~2.2x sales) [calc], justified by ~$375m of targeted cost synergies. Vestis (spun out of Aramark in 2023) received preliminary acquisition proposals in 2024 and was one of the two US companies Elis held exploratory talks with in Q3 2024. In Europe, activity is bolt-on: Johnson Service Group bought Celtic Linen (£31.5m) and Regency Laundry; Rentokil bought Terminix (2022); Elis itself is the main consolidator.

Comparable transactions (2021–2026)

Date	Acquirer	Target	Type	Value	Multiples	Status
2025-01 (rejected) / 2025-03 (…	Cintas Corporation	UniFirst Corporation	Unsolicited proposal	USD275 per share in cash		Rejected by UniFirst board (Jan-2025); Cintas terminated discussions (… [#20]
2026-03-10 (signed) / 2026-03-…	Cintas Corporation	UniFirst Corporation	Definitive merger agreement (cash + stoc…	USD310.00 per share = USD155.00 cash + 0.7720 Cintas shares; EV c.USD5…	c.USD375m operating cost synergies within four years [calc] EV/Revenue FY2025 (Aug-30-2025, USD2432.4m) = 2.26…	UniFirst shareholders approved 2026-06-11; in US antitrust 'second req… [#822]
FY2023 (Vestis 10-K for FY end…	Aramark	Vestis Corporation (Aramark Uniform segm…	Tax-free spin-off (pro rata distribution…	n/a		Completed [#32]
2024-11-21 (disclosed)	Undisclosed bidder(s)	Vestis Corporation	Preliminary acquisition proposals; strat…	n/a	S&P LTM to 3-Jul-2026: revenue USD2696.5m, EBITDA USD251.9m (no transaction to compute multiples)	No transaction announced in retrieved data; analysts asked for updates… [#127]
2022-10-12 (closed)	Rentokil Initial plc	Terminix Global Holdings, Inc.	Acquisition (100%)	Consideration 4,110m = Rentokil ADSs 3,007m + cash 1,087m + replacemen…	Synergy guidance raised (FY2022 AR)	Completed [#3565]
2023-02-13	Johnson Service Group PLC	Regency Laundry Limited	Acquisition (100%)	5.75 million cash, debt free / cash free (currency symbol garbled in s…		Completed [#1072]
2023-08-31	Johnson Service Group PLC	Celtic Linen (Harkglade Ltd, Celtic Line…	Acquisition	31.5 million, debt free / cash free		Completed [#25]
2024	Johnson Service Group PLC	Empire Linen Services Limited	Acquisition	Not available in S&P/ProntoNLP retrieved text		Completed (key audit matter in JSG FY2024 AR) [#2064]
Announced Apr-2023; listed 202…	Sodexo S.A.	Pluxee N.V. (Benefits & Rewards Services…	Full spin-off and listing (Euronext Pari…	n/a		Completed; Pluxee shares EUR21.45 (end FY2024) -> EUR17.40 (end FY2025… [#63]
2020-2024	ISS A/S	Various non-core units	Divestment programme	Not available in S&P/ProntoNLP retrieved text		Programme run 2020-2022; 2024 net acquisitions/divestments mainly adju… [#50]
2021-2025	Bunzl plc	Various (e.g. Nisbets in FY2024)	Serial bolt-on acquisitions	Committed-spend tables not indexed in ProntoNLP		Ongoing [#552]
2022-2026	Healthcare Services Group, Inc…	Small targets (education niche, campus s…	Small bolt-ons / pipeline	Not disclosed		Exploring acquisitions 'with greater intent' (Feb-2025); pipeline buil… [#347]

Date	Acquirer	Target	Type	Value	Multiples	Status
2021-2026	Private equity / private playe…	n/a	PE deals / private-player M&A	Not available in S&P/ProntoNLP		No PE transaction or PE-owned competitor found in searches [#413]

Source: peers' filings and transcripts and Elis filings via ProntoNLP; S&P Capital IQ (worker C, model/C_industry_deals.csv). Where multiples are not disclosed they are shown as unavailable rather than estimated.

12.2 Is Elis a takeover target?

For a takeover	Impediments
• Valuation: ~5x EBITDA vs Cintas/UniFirst at ~19x; bolt-ons trade at ~5x EBITDA, Elis's own Indusal/Lavebras deals at 7–8x • Recurring, contracted, investment-grade cash flows suit infrastructure-style and private-equity buyers • No controlling shareholder; CPP Investments (former anchor) has sold down below 5% • Strategic logic for a US player seeking Europe/LatAm scale (Cintas has no European business) [u] • Shares 25% below July high; management incentives include relative TSR	• BWSA/Moreira Salles (~18–20%) holds a blocking-size stake, two Supervisory Board seats and a 25% standstill for 10 years (from 2023) — any bid needs its support • Double voting rights for shares registered ≥2 years raise the weight of long-term holders • Size: EV ~€9bn; an LBO at 6.5–7.5x would need ~€8–9bn of debt on a capex-heavy business • Antitrust: dominant positions (e.g. France hospitality >50%) would constrain a European strategic buyer • Change-of-control clauses in bonds and the RCF; French political sensitivity (strategic employer, 58k staff) • Two-tier governance with long-tenured management

Potential takeout multiples and value. Applying 6.5–7.5x LTM adjusted EBITDA (€1,740m) — between Elis's own large-deal multiples (7–8x) and its bolt-on pricing (~5x), and far below Cintas/UniFirst — gives an EV of €11.3–13.1bn; less net debt (€3.67bn), leases (€0.70bn) and plus the OCEANE debt that converts (€0.36bn) on 239.7m post-conversion shares, that is €30–38 a share (+41% to +79%) [calc]. We assign a low probability (<10% over 12 months) given BWSA's position and the capital required; the more likely "event" is BWSA continuing to creep towards its 25% cap.

12.3 Elis's own acquisitions, 2016–2026

Year	Target	Country	Consideration / EV	Revenue acquired	Multiples	Notes
2016	Indusal (Compania Navarra de Servicios Integrales SL)	Spain	EV EUR170m for 100% of capital	2015 net revenue EUR83m; 2016e c.EUR90m	7x 2016e EBITDA pre-synergies; 5x post-synergies [calc] EV/2016e sales = 170/90 = 1.89x; E…	Integration 'went well' (2018 AR, management remuneration review) [#261]
2017	Lavebras Gestao de Texteis SA	Brazil	EV BRL1,300m (EUR360m at 3.60 BRL/EUR); price for 100% BRL1,230m (EUR3…	2015 net revenue BRL276m (EUR77m); 2016e c.BRL370m (EUR103m)…	18x 2016e EBIT pre-synergies; 8x 2016e EBIT post-synergies (post figure deducts PV of expe…	Brazil EBITDA margin from nearly 22% (2016) to nearly 36% (2021); 10 acquisition… [#3117]
2017	Berendsen plc	UK (operations UK, Scandi…	GBP2.2bn (EUR2.4bn) total; cash for c.43.4% / shares for c.56.6% of Be…	Berendsen 2016 revenue EUR1.4bn (15,700 employees); Jan-Aug …	None stated as EV multiple in retrieved text [calc] equity price/2016 revenue = 2.4/1.4 = …	Synergy target >=EUR80m p.a. by 2020 incl. EUR50m in 2018 (EUR60m opex + EUR20m … [#305]
2016	2016 acquisitions in aggregate (incl. Indusal; Colombia entr…	Spain, Colombia, other	S&P cash acquisitions FY2016: EUR-217.0m (S&P Capital IQ (C_27989), so…	Contribution since acquisition EUR27.3m; full-year pro forma…		Entry into Colombia (SIL) [#3515]
2017	2017 acquisitions in aggregate (Berendsen, Lavebras, others)	Multiple	S&P cash acquisitions FY2017: EUR-1362.9m	Contribution since acquisition EUR523.1m; full-year pro form…		Revenue went from c.EUR1.5bn to >EUR3bn after Indusal, Lavebras and Berendsen (F… [#3460]
2018	2018 bolt-ons (10 small acquisitions in 7 countries, 3 in fo…	Multiple	S&P cash acquisitions FY2018: EUR-62.2m; CFO: acquisitions and debt ta…	Contribution EUR31.6m; full-year pro forma additional EUR20.…		Expected >2% revenue impact on 2019 from secured deals [#290]
2019	2019 bolt-ons (net of Clinical Solutions disposal)	Multiple	EUR120m of M&A activity net of Clinical Solutions disposal (CFO); S&P …	Contribution EUR46.5m; full-year pro forma additional EUR14.…		Stable debt year-on-year with full utilisation of FCF [#320]

Year	Target	Country	Consideration / EV	Revenue acquired	Multiples	Notes
2020	2020 bolt-ons: Kings Laundry (Ireland No.2), Central Laundry…	Ireland, UK, Germany, Cze…	S&P cash acquisitions FY2020: EUR-87.6m	Contribution EUR31.0m; full-year pro forma additional EUR25.…		M&A subdued in H1 2020 (Covid), resumed from H2 [#192]
2021	2021 small bolt-ons (e.g. MAB Industria e Comercio and Norte…	Brazil, Spain, Sweden, ot…	S&P cash acquisitions FY2021: EUR-86.8m	Contribution EUR22.1m; full-year pro forma additional EUR23.…		[#3577]
2022	Lavartex (century-old family group; Mexican market leader; o…	Mexico	Initial invested amount for 100% not disclosed in retrieved text; earn…	2021 revenue EUR74m (as announced Mar-2022) / c.EUR85m at Ju…	5.0x 2021 EBITDA and 10.7x 2021 EBIT on initial invested amount (MXN23.6/EUR, Mar-2022) [H…	Accretive to region margin; Americas scope effect +24.4% in 2022; lower Mexico e… [#3382]
2022	2022 bolt-ons: Joeckel (Germany healthcare, c.EUR20m revenue…	Germany, Chile, Denmark, …	S&P cash acquisitions FY2022: EUR-221.7m	All 2022 deals: contribution EUR86.6m; full-year pro forma a…		Debt nearly stable at EUR3,178m despite Mexico [#129]
2023	2023 bolt-ons: Gruppo Indaco (Italy), Compania de Tratamient…	Italy, Spain, other	S&P cash acquisitions FY2023: EUR-82.1m	Contribution EUR13.7m; full-year pro forma additional EUR11.…		[#3794]
2024	Moderna	Netherlands	Not disclosed in retrieved text	c.EUR50m revenue		Integration 'perfectly on track' (H1 2024 call) [#108]
2024	One Way	Malaysia	Not disclosed	2024 revenue close to EUR5m		Reinforce global cleanroom position; strong Malaysian cleanroom momentum [#168]
2024	Carsan Renting & Laundry SL and Alquitex Renting Textil SL (…	Spain	Not disclosed	2024 revenue EUR9.7m		Bolt-on [#5717]
2024	2024 other bolt-ons (Les Tapis Boland BE; Los Carruajes de l…	Multiple	S&P cash acquisitions FY2024: EUR-183.3m (all 2024 deals)	All 2024 deals: contribution EUR50.5m; full-year pro forma a…		Jan-2024: Group acquired the 50% non-controlling interests in Casbu SL (Spain) [#5723]
2025	Waescherei Bodensee AG	Switzerland	Not disclosed	c.EUR27m revenue		Typical bolt-on [#5666]
2025	Two bolt-ons consolidated from 1-Jan-2025: Spanish hospitali…	Spain; Germany	Not disclosed	c.EUR10m; c.EUR19m		Spain acquisition added +3.2% to Southern Europe growth in H1 2025 [#168]
2025	Lavanderia Hospitalar Acqua Flash Ltda	Brazil (Brasilia)	Not disclosed; earn-out with no maximum, payable 2027-2028 on a multip…	c.EUR7.7m 2025 revenue		Bolt-on [#5681]
2025	Muller	France (Grand-Est)	Not disclosed	c.EUR7m annual revenue		Bolt-on [#102]
2025	2025 bolt-on programme in aggregate (22 acquisitions; incl. …	Multiple	EUR108m paid for EUR91m annualised revenue; c.EUR139m M&A cash (sum of…	EUR91m annualised revenue; contribution EUR44.0m; full-year …	Slightly below 1.2x revenue; c.5x EBITDA before synergies, as low as 2.5x after synergies …	'Record year' (22 deals); +0.6% carry-over into 2026; O.C.L. agreement signed 7-… [#108]
2026	Adrett	Germany (Schuby, near Dan…	Not disclosed	EUR12m 2025 revenue		Bolt-on [#159]
2026	Waesche Perle; RS10; ServBrasil	Switzerland (Interlaken);…	Not disclosed	EUR13.5m; EUR5.5m; n/a		Bolt-ons; H1 2026 M&A contribution +1.1% to revenue [#159]
2026	Saniservice BV; SARL Julien Travers (AHS) assets; Genesis Sp…	Netherlands; France; Chil…	Not disclosed	c.EUR1.2m; EUR0.2m; c.EUR0.7m		Pest-control build-out / consolidation [#5737]

Year	Target	Country	Consideration / EV	Revenue acquired	Multiples	Notes
2019	DISPOSAL: Clinical Solutions business (split in two)	n/a	S&P divestitures FY2019 EUR30.0m			Netted against 2019 M&A (EUR120m net) [#2416]
2022	NOT A DISPOSAL: Russia (limited business)	Russia	Goodwill impairment EUR58.7m at 30-Jun-2022 (WACC 26.3% vs 11.4%)	2022 revenue EUR25.6m		Net non-current assets EUR17.8m (end-2022) and EUR16.0m (end-2023) [#249]

Source: Elis annual reports, calls and the Berendsen documents via ProntoNLP; S&P Capital IQ cash acquisitions (worker C, model/C_acquisitions.csv).

Assessment. The transformational deals (Berendsen 2017, ~£2.2bn; Lavebras and Indusal at 7–8x EBITDA) doubled the group but loaded the balance sheet with €4bn of goodwill and depressed ROIC; the UK margin was rebuilt from ~23% to >32% and Southern Europe from 27% to 34%, which justifies them operationally. Bolt-ons since 2018 (€60–220m a year, ~1.2x sales and ~5x EBITDA) are clearly value-accretive. The two failures were the 2024 US talks (−21% share-price reaction, terminated) and the abandoned Irish OCL deal (June 2026, competition review).

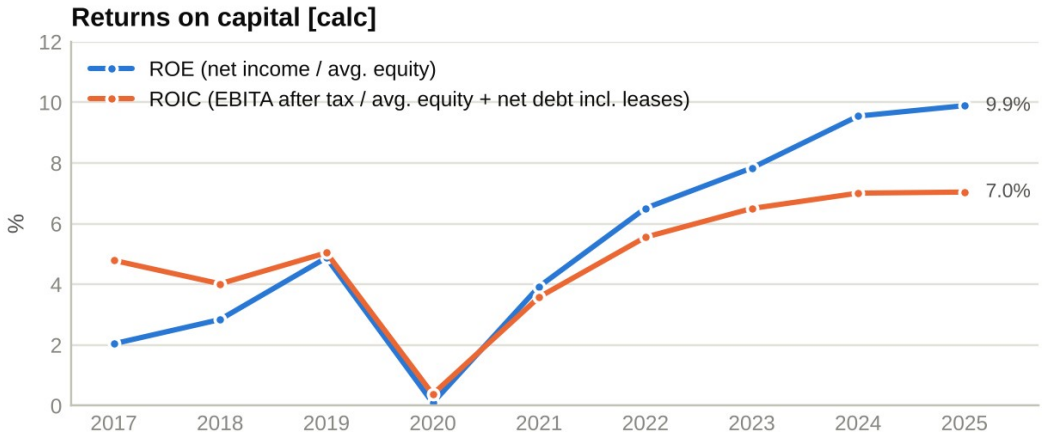
13. Management assessment

Elis has a two-tier structure: a Management Board (executive) supervised by a Supervisory Board. The Management Board was renewed for four years from 5-Sep-2026: Xavier Martiré (Chairman/CEO), Louis Guyot (CFO) and, new, Yann Michel (Group COO); Matthieu Lecharny did not seek reappointment [#139] [#140] [#143].

Executive	Role / tenure	Track record	Skin in the game & pay
Xavier Martiré	Chairman of the Management Board (CEO) since 2008; at Elis since 1999 (~27 years); reappointed to 2030	Led the 2015 IPO, the Berendsen (2017), Lavebras, Indusal and Lavartex deals; tripled revenue from ~€1.5bn to €4.8bn; rebuilt UK and German margins; navigated Covid and the 2022 energy shock (unhedged); pivoted to capital returns in 2025. Ex-SNCF; Polytechnique/Ponts	Variable pay target 100% (cap 170%); LTI = 2.25x pay (121,741 performance shares granted 2025); say-on-pay 93.65% (2025) but only 70% support for the 2025 policy. Sold 92,825 shares (~€2.3m) in Jan-2026 while the company was buying back [calc]. Holding not retrievable (<1% for all board members)
Louis Guyot	CFO since 2013, Management Board since 2014; reappointed to 2030	Architect of the refinancing from BB to investment grade (BBB-/Baa3), the OCEANE, capital-allocation policy and buybacks. Ex-French Treasury, Dalkia, Korian	Target 100% (cap 170%); LTI 1.75x pay; repeated share and FCPE sales in 2025
Yann Michel	Group COO from 1-Jul-2026; Management Board from Sep-2026; >15 years at Elis	Ran France, UK & Ireland as Deputy COO — the two regions with the strongest margin gains	Not disclosed
Matthieu Lecharny (leaving end-2026)	Deputy COO Southern Europe & LatAm, head of M&A; Board 2014–2026	Built LatAm (Brazil, Mexico) and Southern Europe; LatAm margin reversal in 2025–26 and Mexico tender loss happened on his watch	Target 70% (cap 119%)

Source: Elis FY2025 URD and H1 2026 report via ProntoNLP (worker B, model/B_management.json). Euro amounts of pay and individual holdings are in non-indexed tables and could not be retrieved.

Capital allocation and returns under this management



Source: S&P Capital IQ (Elis SA, C_27989) — source link unavailable; analyst calculations [calc].

- **ROE** rose from 3.9% (2021) to 9.9% (2025); **ROIC** (EBITA after tax / equity + net debt incl. leases) from 3.6% to 7.0% [calc] — improving but still around the cost of capital because ~€4bn of goodwill from Berendsen and LatAm sits in the base. Company pre-tax ROCE (excl. goodwill effects) is 14.7%.
- **Good:** disciplined bolt-ons (~1.2x sales, ~5x EBITDA); investment-grade rating; €616m of buybacks in 2025–26 at €22.87 and €26.25; energy hedging adopted after 2022.
- **Questionable:** Berendsen (2017) at a full price (equity ~£2.2bn) produced years of low returns; the 2024 US talks; buying back €467m at €26.25 just before the shares fell 19% (and funding it with debt while insiders sold).
- **Archetype:** professional, long-tenured insider managers, not founders. Strength: deep operational know-how and continuity; risk: little pressure to rethink the capital-intensive model, and succession now centres on an internal COO.

Red flags reviewed

- Related-party: the Aug-2025 EMTN mandate to HSBC Continental Europe, where the CEO sits on the board and chairs the compensation committee (approved under the related-party procedure) [#1303]. No other related-party transactions found.
- Pay: Supervisory Board chair fee more than doubled (€186k → €400k); only 70% approval of the 2025 Management Board pay policy [#1378]; 2020 variable-pay criteria changed retrospectively (Covid).
- Insider selling during the buyback (above). No loans to executives; severance within AFEP-MEDEF norms; auditors unchanged (PwC since 2007, Forvis Mazars since 2011).
- No frequent strategy pivots; the 2025 shift to shareholder returns is the only material change. Messaging is factual rather than promotional, although March-2026 guidance on LatAm margins was reversed within five months.

14. Supervisory Board

Member	Role	Independence	Since	Term to	Background and other affiliations
Thierry Morin	Chairman of the Supervisory Board	independent	2014-06-23	AGM 2027 (May 2027)	CEO/Chairman of TM France (industrial holding specialising in restructuring distressed companies); career Burroughs (1977), Schlumberger (1978-86), Thomson Consumer Electronics (1986), Valeo from 1989 incl. CFO and Chairman & CEO … [#902]
Fabrice Barthélemy	Vice-Chairman of the Supervisory Board (since…	independent	2020-06-30	AGM 2028 (May 2028)	Chairman of the Management Board of Tarkett SA since January 2019 (joined Tarkett 2008 as CFO) [#902]
Kelly Becker	Member	independent	2025-05-22	May 2028 (3-year term)	President, Schneider Electric UK & Ireland, Belgium & Netherlands (aged 47); Schneider Electric since 2011; earlier Danaher (Videojet) and TAC; Darden MBA [#970]
Antoine Burel	Member	independent	2019-02-20	AGM approving FY2029 accou…	Deputy Chief Operating Officer of Legrand; Legrand Group CFO (in charge of risk management) from 2008, Deputy CEO & EVP Group Operations from 2019; Director and Chairman of the Board of Legrand France; began in audit 1986 (Fiducia… [#980]
BW Gestão de Investimentos Ltda (BWGI), permanent representative Cécil…	Member (legal entity)	not independent (represents Kaon E / Kaon V f…	2023-12-14 (co-opted t…	AGM approving FY2026 accou…	BWGI: Sao Paulo asset manager of Kaon E (sub-fund of Kaon Investment Fund ICAV, Ireland); 99.96% subsidiary of BWSA. Helme-Guizon: PwC from 1987 (audit, then corporate finance); Executive Director of IFA 2018-2019; independent dir… [#6732]
Brasil Warrant Administração de Bens e Empresas SA (BWSA), permanent r…	Member (legal entity)	not independent (represents Kaon E / Kaon V >…	2025-05-22 (Martineau …	May 2029 (4-year term)	BWSA: Brazilian holding company of the Moreira Salles family (seven decades). Martineau: Carlyle 2000-2011 (European LBOs), CVC Managing Director (set up CVC Latam office 2016), BWGI since 2019 as Head of Strategic Investments in … [#1000]
Anne-Laure Commault-Tingry	Member	independent	2017-05-19	May 2029	EVP Smart Mobility & Services, Orange Business; previously Chief Digital & Omnichannel Officer, Orange France (2020-2024); CEO of Générale de Téléphone (2016-2019); Orange since 2002 [#1013]
Philippe Delleur	Member	independent	2015-06-24	AGM 2027 (May 2027)	SVP Public Affairs, Alstom (joined 2006; President Alstom International 2011-2015); 23 years at French Ministry of Economy & Finance; no offices outside the Group [#1021]
Michel Plantevin	Member	independent per SB review of 10-Mar-2026 (CPP…	2023-04-24/25 (co-opte…	May 2029	Angel investor; Managing Director, Bain Capital Private Equity Apr-2003 to Dec-2020 (London, then Boston), industry & services focus [#1034]
Isabelle Wege (Adelt)	Member	independent	2025-05-22	2028 (3-year term)	CFO and Executive Board member of Straumann Group since 1-Jul-2025; previously CFO of Fuchs (from 2022), Schenck Process (2019-2020), Zeiss (2012-2019), EY (2008) [#1041]
Valérie Gandré	Member representing employees	employee representative (not counted)	2020-11-02	2028	Employee of the Group (details not indexed) [#902]
Philippe Beaudoux	Member representing employees	employee representative (not counted)	2020-11-02	November 2028	Head of Human Resources at Elis (joined 1994 as HR manager for two production sites) [#963]
Juan Gomez	Censor (non-voting member)	n/a (non-voting)	2026-03-10	four-year term from 2026-0…	Background not indexed [#929]

Source: Elis URD 2025 and H1 2026 report via ProntoNLP (worker B, model/B_board.csv).

Changes over the last five years

Date	Body	Who	Change
2021-05-20	AGM	Anne-Laure Commault; Joy Verlé (CPPIB, Vice-Chair)	reappointment [#527]
2022-03-08	Supervisory Board -> Management Board	Xavier Martiré (Chairman), Louis Guyot, Matthieu Lecharny	reappointment decided [#415]
2022-05-19	AGM	Antoine Burel	reappointment [#121]
2022-08-30	Supervisory Board	Joy Verlé (CPPIB)	resignation [#735]
2022-09-05	Management Board	Martiré, Guyot, Lecharny	new terms start [#415]

Date	Body	Who	Change
2022-12-15	Supervisory Board	Censor position; Antoine Burel	censor created; committee change [#735]
2023-01	Supervisory Board	Bpifrance Investissement	censor [#133]
2023-03-07	Supervisory Board	Fabrice Barthélemy	appointed Vice-Chairman [#132]
2023-04-25	Supervisory Board	Michel Plantevin (CPPIB)	co-optation [#134]
2023-05-25	AGM	Thierry Morin; Magali Chessé; Philippe Delleur; Bpifrance Investissement (Paul-Philippe Be…	reappointments; appointment [#133]
2023-10-26	Supervisory Board	Alexis Martineau (BWGI)	censor (inferred) [#902]
2023-12-14	Supervisory Board	BWGI (Cécile Helme-Guizon) replacing Predica (Magali Chessé)	co-optation [#6732]
2024-05-23	AGM	Amy Flikerski; Fabrice Barthélemy; BWGI	reappointments; ratification [#163]
2024-10-16	Supervisory Board (group works council)	Valérie Gandré; Philippe Beaudoux	renewal [#887]
2024-12-17	Supervisory Board	Thierry Morin (SB Chair pay); Management Board pay	compensation decision [#1543]
2025-05-22	AGM	Michel Plantevin; Anne-Laure Commault-Tingry	reappointment [#921]
2025-05-22	AGM	BWSA (Alexis Martineau)	appointment [#921]
2025-05-22	AGM	Isabelle Wege (Adelt); Kelly Becker	appointment [#921]
2025-05-22	AGM	Florence Noblot	non-reappointment [#921]
2025-06-05	Supervisory Board	Bpifrance Investissement	resignation [#921]
2026-02-18	Supervisory Board	Amy Flikerski (CPPIB)	resignation [#6719]
2026-03-10	Supervisory Board	Juan Gomez	censor appointed [#929]
2026-03-10	Audit Committee	Thierry Morin	left committee [#921]
2026-03-10	Supervisory Board (independence review)	Michel Plantevin	reclassified independent [#1065]
2026-05-21	AGM	Antoine Burel	reappointment [#137]
2026-06-03	Supervisory Board -> Management Board	Xavier Martiré; Louis Guyot; Yann Michel; Matthieu Lecharny	reappointment / appointment / departure decided [#139]
2026-07-01	Executive Committee	Yann Michel; Otavio Carvalho; Bruno Komly; François-David Tourneur; Andreas Schneider	reorganisation [#142]
2026-09-05	Management Board	Martiré; Guyot; Yann Michel; Lecharny	new terms start / term ends [#139]
2026-12-31 (planned)	Group	Matthieu Lecharny	planned departure [#142]

Read-across: the board has shifted from representatives of CPP Investments, Predica (Crédit Agricole) and Bpifrance to the Moreira Salles family (BWGI and BWSA hold two seats plus a censor), while CPPIB's last representative resigned in Feb-2026. Long tenures (Chair Thierry Morin since 2014, Philippe Delleur since 2015) are a governance watch-point; the 2025 additions (Isabelle Wege, CFO of Straumann; Kelly Becker of Schneider Electric) strengthened finance and international experience.

15. Shareholders, activism and short interest

Elis does not publish a full top-10 register in indexed text; the table below combines the last ownership table (30-Jun-2024), threshold declarations to the AMF through Jul-2026 and the Feb-2026 block trade [calc]. Share capital 232,848,588 shares; ~16.9m treasury shares at 30-Jun-2026 (7.3%) [calc].

#	Holder	Type	Latest indication	Change
1	BWSA / BWGI (Moreira Salles family, Brazil) via Kaon E and Kaon V funds	Strategic family holding; 2 SB seats	≥18.3% of capital; ~20% of voting rights (above 20% since 18-Jun-2026)	Entered Oct-2023 (bought Predica stake); bought 7.0m shares from CPPIB at €25.00 on 6-Feb-2026; 25% standstill for 10 years
2	Invesco Ltd	Institutional (asset manager)	>10% of capital (16-Jul-2026)	Crossed 5% Nov-2025, 10% Jul-2026
3	Treasury shares (Elis)	Company	~16.9m (7.3%) at 30-Jun-2026	From the €500m 2026 buyback; earmarked for OCEANE conversion
4	Wellington Management	Institutional	~5% (around the threshold)	Crossed 5% up/down several times 2025–26
5	CPP Investments	Pension fund	<5% (21-Jul-2026)	Anchor since 2017 (Berendsen financing); 11.9% in 2025 → exit in progress
6	Employees and executives (FCPE, direct, vested PS)	Insiders	~3.0% of capital	Stable; board & management <1%
7–10	Other institutions (e.g. Ameriprise, FMR in earlier registers)	Institutional	Below 5% — not disclosed	Bpifrance (Lac1) exited 2025

Source: Elis URD 2024/2025, H1 2026 report and AMF declarations as reported via ProntoNLP (worker B, model/B_shareholders.csv) — e.g. [#6701] [#166] [#167]. A complete top-10 list with percentages is not available in permitted sources.

Activism

No activist campaign has been launched against Elis in the period covered by permitted sources: searches of filings and transcripts for activist letters, shareholder proposals, contested resolutions and proxy fights returned nothing beyond the 70% vote on the 2025 executive pay policy. The closest thing to an "activist" is the strategic accumulation by BWSA/BWGI — a long-term family investor with board seats, not a campaign — and the company's own 2025 pivot to returning cash, which management framed around the "valuation disconnect" [#358].

Short interest

Not available in S&P Capital IQ or ProntoNLP. No disclosed net short positions or securities-lending data were found. Structurally, the OCEANE 2029 (€380m, 23.8m underlying shares) implies convertible-arbitrage short positions; these should unwind as the bond is called and converted. We recommend checking the AMF short-position register and lending data before sizing.

16. Strategic initiatives over the last ten years

Period	Initiative	Objective / targets	Outcome to date	Verdict
2016-2017	Transformational M&A (Indusal, Lavebras, Berendsen)	Pan-European + LatAm leadership; scale; diversification; Group revenue from c.EUR1.5bn to >EUR3bn; combined >EUR3bn revenue / EUR1bn EBITDA	ROCE from 9% (2018, first year after the mergers) to nearly 14% in 2023 (FY2023 call chart); management: EPS growth every year 'including when we made some major acquisitions' (2016-17) [#203]	Mixed
2017-2020	Berendsen integration and synergies	Synergies >=EUR80m p.a. by 2020; EUR60m opex + EUR20m capex; EUR50m in 2018	EUR50m cumulative at end-2018; 'clear success' (Mar-2020); UK turnaround very well advanced, UK&I margin +40bp in 2020; final 2020 synergy tally not found [#1050]	Success
2015-2026	Bolt-on acquisition programme	Network density, market share (link to margin), capacity, new services; Budget EUR50-150m per year; 2025: EUR108m for EUR91m revenue (<1.2x sales, c.5x EBITDA pre-synergi…	22 deals in 2025 ('record year'); little to no impact on leverage [#172]	Success
2014-2022	Latin America expansion	High-growth, low-outsourcing markets; Brazil EBITDA margin nearly 22% (2016) -> nearly 36% (2021); Mexico 2021 EBITDA margin c.38%	Brazil margin above group; Mexico accretive; H1-2026 Mexico volume loss [#220]	Success, now volatile
2019	Disposal of Clinical Solutions	Portfolio focus; S&P divestitures FY2019 EUR30.0m	Completed by 31-Dec-2019 [#2416]	Done
2020	Covid-19 crisis response	Protect liquidity and cash; Organic revenue -15% H1-2020, -27% Q2-2020; liquidity EUR1.1bn (Apr-2020); one-offs EUR22m (Covid) + EUR33m (restructuring) + EUR5m (acquisiti…	2020: EBITDA margin improved and record free cash flow (FY2020 call) [#16]	Success
2021-2025	Deleveraging and investment-grade ratings	Investment grade; lower funding cost; Leverage 3.0x (2021) -> 2.5x (2022) -> 2.0x (2023) -> 1.85x (2024) -> 1.75x (2025); 2.09x (Jun-2026); ~1.65x target YE2026	S&P BBB- (Nov-2023); DBRS BBB (Mar-2024); Moody's Baa3 (Nov-2024) [#19]	Success
2022-2026	Pricing / inflation pass-through	Offset cost inflation (energy, wages); Price rises Oct-2022 and Jan-2023; strongest in Germany and UK	FY2025: pricing adjustments offset cost inflation; minimum-wage inflation harder to pass on immediately; exposure to spot energy price [#30]	Success
2022-2025	GLAD route optimisation software	Logistics productivity; 1-2% yearly savings on logistic costs where implemented; c.3,700 routes monitored by 2025	Roll-out started Jan-2022 [#108]	Ongoing
2023-2030	Climate / CSR targets (Special Call 4-Sep-2023)	Decarbonisation; differentiation in tenders; Scope 1&2 -47.5%, Scope 3 -28% by 2030; >=1,000 EVs by 2030; absolute CO2 -17.5% 2019-2022 achieved; CO2/kg target -20% by 20…	2030 climate goals factored into sustainability-linked RCF margin (Dec-2023); M&A not blocked by CSR (screening only) [#59]	On track
2023-2025	Industrial productivity, automation, traceability	Productivity and lower resource consumption; n/a	Ongoing (CMD May-2025) [#125]	Ongoing
2025-2028	Capital Markets Day plan (27-May-2025)	Growth + margin + cash returns; Total growth 5-6% (wrap-up: 5.5-6%) of which ~4% organic and +1-2% bolt-on M&A; EBITDA margin ~+20bp p.a. on average; many countries can r…	2025: leverage 1.75x; 2026 objectives confirmed at H1-2026 (29-Jul-2026) [#3206]	Behind on organic/EBIT
2025-2026	Capital allocation policy / shareholder returns	Shareholder returns; EUR150m buyback (2025); EUR500m buyback (2026) completed 9-Jul-2026; OCANE soft call planned mid-Oct-2026	Average basic share count expected -3.5% by YE2026, fully diluted c.-5% [#277]	Executed
2024-2026	Growth adjacencies: clean room and pest control	Faster-growing niches; Clean room market +5-7% p.a.	H1-2026: clean room EUR145m (+6%); pest control EUR45m (+16% volume growth) [#83]	Success (small)
2022	Russia	n/a; Revenue EUR25.6m (2022); goodwill impairment EUR58.7m (Jun-2022)	No exit found in retrieved data [#249]	Impaired; residual
2016-2026	North America	n/a; n/a	No US/North America entry found in Elis transcripts (searched)	Not pursued / blocked

Source: Elis filings and calls via ProntoNLP (worker C, model/C_strategic_initiatives.csv); verdicts are the analyst's.

17. Stakes held in other companies

Elis holds no material stakes in listed or unlisted companies outside its consolidated subsidiaries: equity-accounted associates/JVs are immaterial (S&P long-term investments €0.2m), it bought out the remaining 50% of Casbu (Spain) in Jan-2024, and its other exposures are minority put options and earn-outs (Lavartex in Mexico, Acqua Flash in Brazil). Strategically and financially these are negligible; the relevant cross-holdings run the other way (BWSA, Invesco and CPPIB in Elis).

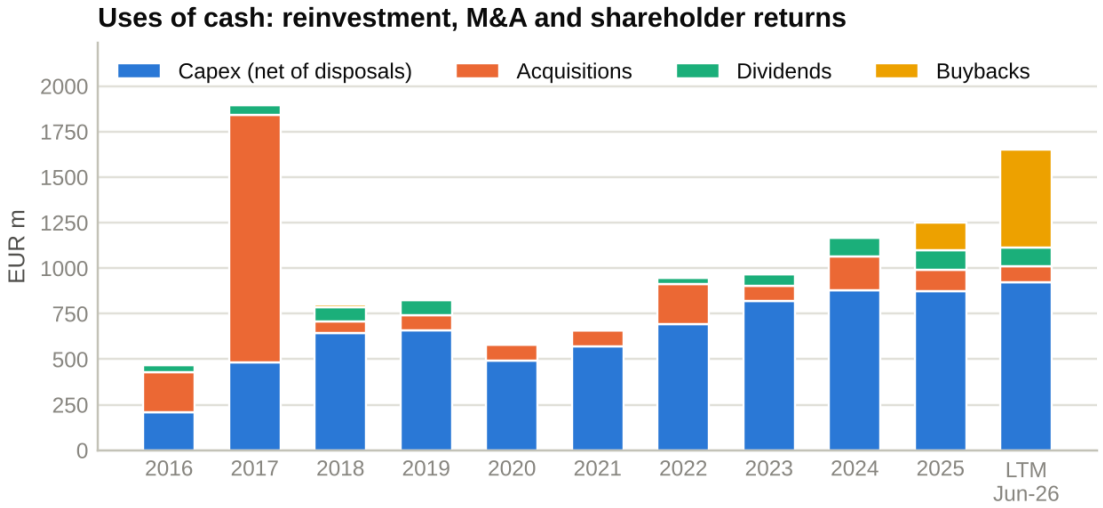
Item	Entity	Detail	Relevance
Associates/JVs (Elis holdings)	Equity-accounted investments	Policy: associates and JVs accounted for under the equity method; no material associate or JV identified in retrieved text (subsidiary tables not indexed) [#5652]	Low
Non-controlling interests	Casbu SL (Spain)	Group acquired the non-controlling interests (a 50% stake) in Casbu SL [#5725]	Low
NCI put options / accounting	Minority repurchase commitments	Repurchase commitments to non-controlling interests are recognised as liabilities; NCI measured at fair value or proportionate share of net assets; H1-2026 equity statement has an 'Acquisition of NCI' line (amounts not indexed) [#6145]	Low
Earn-outs (contingent consideration)	Lavartex (Mexico); Acqua Flash (Brazil)	Mexico earn-out (lower in 2025 vs 2024; accretion in financial expense); Acqua Flash earn-out with no maximum payable 2027-2028 on a multiple of EBIT increase vs EUR1.7m reference EBIT [#5370]	Low
Shareholder (Elis)	BWGI / BWSA (Kaon E and Kaon V funds)	Investment agreement 9-Oct-2023 after acquiring Predica's (Credit Agricole) entire stake; >5% capital 11-Oct-2023; >15% voting rights 16-Oct-2025; >18% capital since 6-Feb-2026; crossed 20% of voting rights up 23-Feb-2026, down 17… [#6726]	High: largest holder, blocking-size voting stake; lock-up vs…
Shareholder (Elis)	CPP Investments (CPPIB)	Investment Agreement 7-Jun-2017 (Berendsen financing: EUR200m at EUR19.74); anti-dilution right while >=8%; board nominee at >=8% (second at >=15%); voting rights hovered around 20% in 2025 (AMF table: below 20% disclosed 17-Jun-2… [#6716]	High: anchor holder has largely exited (rights lapse below 8…
Shareholder (Elis)	Invesco Ltd	Passed 5% of capital 14-Nov-2025; exceeded 10% of capital 16-Jul-2026 and 10% of voting rights 17-Jul-2026 [#6707]	Medium
Shareholder (Elis)	Wellington Management; Lac1 SLP (Bpi)	Wellington >5% capital (17-Apr-2025), <5% (22-Jan-2026), >5% (13-Feb-2026); Lac1 >5% voting rights 5-Jun-2025 then <5% 6-Jun-2025 [#6707]	Low
Control / anti-takeover	Elis SA	No controlling shareholder; no agreements known that could lead to a change of control; bylaws contain no provisions that may have an effect on a change in control; dual-board (management board + supervisory board) structure since… [#6695]	Medium
Double voting rights	Elis SA	Double voting rights for registered shares held >=2 years (Article 9 of bylaws); 49,741,818 shares had double voting rights at 31-Dec-2025; lost on conversion to bearer or transfer [#6608]	High: raises voting weight of long-term registered holders (…
Treasury shares / dilution	Elis SA	18.3m treasury shares held at 28-Jul-2026; up to 23.8m shares deliverable on OCANE 2029 soft call; buyback authorisation ceiling EUR650m [#296]	Medium
Change-of-control clauses (debt)	RCF, OCANEs, EMTN bonds, USPP	Financing agreements would be amended or terminated on a change in control; lenders' change of control = acquisition by one or more persons acting in concert of >50% of voting rights; OCANE holders may require early redemption at … [#6715]	High: refinancing need on a takeover (gross debt c.EUR4.1bn …

Source: worker C (model/C_stakes.csv); S&P Capital IQ balance sheet.

18. Dividends, buybacks and treasury shares (last five years)

Fiscal year	DPS (€)	Paid (cash, €m)	Buyback (€m)	Shares bought	Avg price	Cancellations / treasury	Notes
FY2020	nil	—	1.3	n/a	n/a	Liquidity contract only	FY2019 €0.39 dividend withdrawn (Covid)
FY2021	0.37	—	—	—	—	—	Reinstated; scrip option (paid 2022)
FY2022	0.41	33.2	0.1	—	—	—	Scrip option; cash paid in year relates to FY2021
FY2023	0.43	61.7	—	—	—	—	Paid in cash 2024
FY2024	0.45	101.3	2.2	—	—	—	Paid 28-May-2025
FY2025	0.48	105.1	153.8	6,560,820	€22.87	€109.1m of repurchased shares cancelled (shares 236.5m → 232.5m)	€150m programme from 6-Mar-2025; €0.48 = €0.26 return of reserves + €0.22 dividend, paid 28-May-2026
2026 YTD	—	105.6 (H1)	466.8 (H1)	~17.8m [calc]	€26.25	~16.9m treasury shares at 30-Jun-2026 (7.3%) [calc]; to settle OCEANE conversion	€500m programme 6-Jan to 9-Jul-2026

Source: S&P Capital IQ (linked) and Elis FY2025 results/URD and H1 2026 report via ProntoNLP ([#663] [#695] [#292] [#17]); worker B (model/B_shareholder_returns.csv).



Source: S&P Capital IQ (Elis SA, C_27989) — source link unavailable; analyst calculations [calc].

Shareholder returns went from zero (2020–21) to ~€260m in 2025 and ~€570m in H1 2026 alone — 12% of today's market cap in eighteen months. The policy (bolt-ons €50–150m, leverage −0.1x a year, the rest to shareholders) implies ~€100–200m a year of buybacks from 2027 on our estimates.

19. Adversarial analysis: bull case, bear case, pre-mortem and contrarian view

Bull case

- **Moat durability:** local density, four-year contracts with residual-value exit fees and ~94% retention; #1 in more than half its positions; France at a 42.7% EBITDA margin shows what density delivers.
- **Growth levers:** outsourcing conversion in LatAm (64% of Mexico's market still on-premise), care homes and workwear; cleanroom (+6–9% a year) and pest control (+16% volume); bolt-ons at ~5x EBITDA.
- **Earnings surprise potential:** 2027 pricing from strong indices, energy normalisation (Middle East costs are mostly 2026), German healthcare contract, Mexico annualised — EPS growth could exceed 10% in 2027.
- **Capital allocation:** €616m of buybacks in 18 months, investment-grade balance sheet, OCEANE conversion delivers ~0.2x of deleveraging without cash.
- **Valuation and holder base:** 11x headline P/E and ~8% FCF yield; a ~20% family holder that paid €25 in February.

Bear case: three risks that could permanently impair the business

- **Structural organic slowdown + cost squeeze.** With pricing normalised, organic growth has been below the 4% target for two years; if labour inflation (60% of costs, minimum wages +13–23% in LatAm) keeps outrunning 12-month-lagged indexation, margins stall at ~35% EBITDA / ~16% EBIT and EPS growth becomes buyback-driven.
- **Capital intensity hides low returns.** Capex ~18% of sales and D&A ~19.6% mean EBITDA overstates cash earnings: FCF after leases is only ~21% of EBITDA and ROIC ~7%. If rates stay higher, the equity is a low-growth, levered utility worth less than today.
- **Public-tender and political exposure.** ~30% healthcare with price-only tenders (Germany) and multi-lot re-tenders (Mexico); Brazilian public-contract investigations (potential exclusion up to 10 years); French political risk (30% of revenue).
- **High expectations?** Not on P/E — expectations look low. The risk is the opposite: a value trap if management redeploys cash into large M&A.

Pre-mortem: it is October 2027 and the stock is €15 — what went wrong?

- Q3/Q4 2026 organic growth printed below 3% as hospitality weakened and Mexico losses spread to other LatAm tenders; 2027 guidance only "around 3%".
- The share price fell below the ~€20.8 soft-call trigger, the OCEANE was not converted, leverage stayed above 2x and buybacks were suspended.
- Minimum-wage and energy pass-through failed in Germany and the UK; LatAm margin fell below 30% and Mexico/Chile goodwill was impaired.
- Management launched a large (>€1bn) acquisition to restart growth, funded with debt — repeating the 2024 sell-off.
- BWSA stopped buying and CPPIB's exit overhang plus convert-arb unwind weighed on the shares.

Are valuation multiples too high?

No. At 11x headline and ~14x IFRS earnings, 5.2x adjusted EBITDA and ~14x S&P EBIT, Elis trades at the low end of its own history and at roughly half the peer median P/E. The market already prices low growth and low returns; the multiple would only look high if EPS fell — which our bear case (EPS flat at ~€1.91) still values at ~€17.

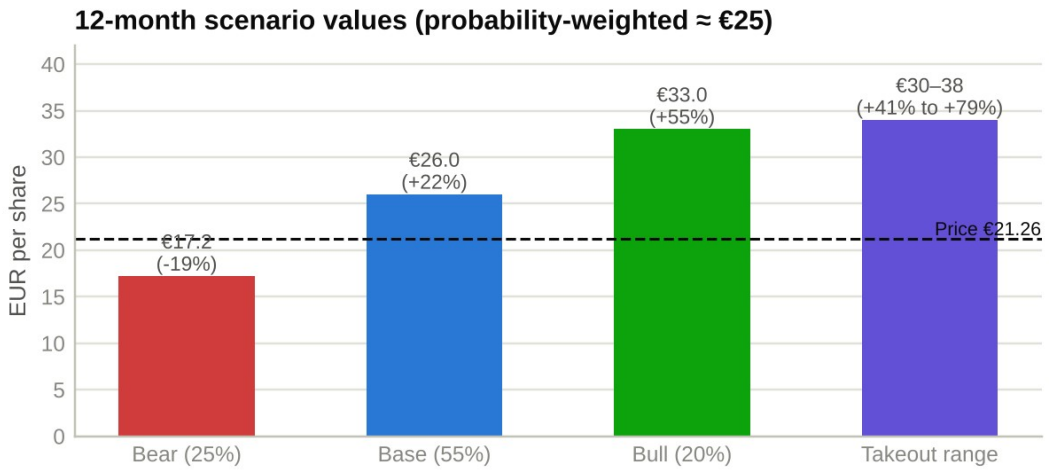
> **Contrarian view: what the market is refusing to see**
>
> The market is treating H1 2026 as a quality break. We think it was a timing problem: the €500m buyback ended, Mexico (0.3% of revenue) and a temporary energy spike hit the same half, and free cash flow was negative on capex phasing and working capital, not on economics. Meanwhile three things are under-appreciated: (1) the OCEANE conversion turns ~€362m of debt into equity using shares already bought, so leverage falls to ~1.65x without cash; (2) a sophisticated ~20% family holder bought in at €25 with a 25% standstill, putting a de facto floor of interest under the

> register; (3) Elis earns more EBITDA per euro of sales than any US uniform renter yet trades at a fifth of Cintas's multiple — consolidation in the US (Cintas–UniFirst at ~19x EBITDA) shows what scale assets in this industry are worth to strategic buyers.

20. Scenario analysis

	Bear (25%)	Base (55%)	Bull (20%)
Organic growth 2027E	~2.0% (+0.5pt M&A)	3.8% (+1pt M&A)	~5.0% (+1pt M&A)
Adj. EBIT margin 2027E	15.4%	16.2%	16.5%
Headline EPS 2027E	€1.91	€2.14	€2.27
OCEANE	Not converted; leverage >2x	Converted Q4-26; ~1.65x	Converted; buybacks €200m+ a year
Multiple applied	9.0x P/E (≈4.5x EBITDA)	12.5x P/E / 5.5x EBITDA / 7% FCF yield	14.5x P/E (≈6.3x EBITDA)
Value per share	€17.2	€26.0	€33.0
Up/downside vs €21.26	−19%	+22%	+55%

Analyst estimates [e]; model/main_forecast.py. Probability-weighted value ≈ €25 (+18%). Takeover value (6.5–7.5x LTM adj. EBITDA) €30–38 (Section 12).



Analyst estimates [e]; see Section 20.

Asymmetry: downside to the bear case (−19%) is smaller than upside to the base (+22%) and bull (+55%) cases; the bear case still assumes no dividend cut and investment-grade financing. Key swing factors: organic growth (±1pt ≈ ± €1.5/share), EBIT margin (±50bp ≈ ±€1.9/share) and the P/E multiple (±1x ≈ ±€2.1/share) [calc].

21. Fifteen questions for the CEO and the Chairman of the Supervisory Board

Ordered by information value (most decision-relevant first).

1. If the share price is below the ~€20.8 trigger when you want to call the OCEANE, what is plan B for leverage, the 2027 buyback and the €300m 2027 maturity?
2. What organic growth do the record 2026 signings imply for 2027, and how much of it is price versus volume once the end-2026 index negotiations close?
3. Why did EBIT grow more slowly than revenue in both FY2025 and H1 2026 despite the CMD commitment — when does D&A/sales actually turn down?
4. What is the full-cycle return on the €467m bought back at €26.25, and what share price or leverage level would stop future buybacks?
5. Under what conditions would you again pursue a large US or European acquisition, and what return hurdle and leverage ceiling would the Supervisory Board impose?
6. What is BWSA/BWGI's long-term intention for its ~20% stake, and how does the 25% standstill interact with any approach for the company?
7. What did the Mexico and Chile impairment-indicator tests show (headroom), and could the multi-lot tender model spread to Brazil or other public buyers?
8. How much of the 2026 minimum-wage increases in Germany, the UK and LatAm remains unrecovered, and by when do indexation clauses close the gap?
9. How much of 2026–27 energy is hedged at what price versus 2025, and what is the true energy bill including vehicle fuel?
10. What drove the H1 2026 working-capital outflow and DSO rise, and what FCF is required in H2 to meet the "mid-single-digit growth" guide?
11. Where are you losing share — UK, Scandinavia, German healthcare — and to whom?
12. What is the succession plan for the Management Board beyond Yann Michel, and why did the CEO sell €2.3m of shares while the company was buying back?
13. Should the capital-intensive linen model change (e.g. more customer-owned or leased linen, RFID-driven loss reduction) to lift ROIC above ~7%?
14. How large is the cleanroom and pest-control opportunity by 2030 and what margins do they earn relative to the group?
15. What would trigger a new Capital Markets Day or revised 2028 targets given organic growth below 4% for two years?

22. The short-seller's view and forensic accounting review

Dismantling the bull case

- **What could break the model?** Labour is 60% of costs and indexation lags 12 months; a sustained wage shock (as in LatAm 2026) compresses margins faster than price can follow. A move to customer-owned linen or cheaper disposables in a recession would hit the capital-intensive rental model.
- **Concentration:** low by customer (top-10 <10%), but high by **geography and buyer type** — France ~29% of revenue and ~35% of EBITDA [calc], public healthcare ~30% of sales. A French political or fiscal shock, or a wave of public re-tenders, hits the most profitable parts.
- **Moat weaker than bulls think:** the UK (12% of sales) is margin-capped by competition; Scandinavian margins have fallen ~400bp since 2021; German hospital tenders are price-only; 6% annual customer loss means ~€290m of revenue must be resold every year.
- **Most dangerous competitor:** not a big listed rival but **local family laundries and in-house hospital laundries** in price-only public tenders — and, longer term, **Cintas**, which after UniFirst will have the scale, cash and ~19x EBITDA currency to buy European platforms (or Elis assets) if it chooses to expand.
- **Worst capital allocation:** Berendsen at a full price (still ~€4bn of goodwill, ROIC ~7%); €467m of buybacks at €26.25 funded with debt just before a 19% fall, while the CEO sold shares; the 2024 attempt to buy a US player that would have doubled leverage.
- **Incentives:** LTI conditions include revenue and EBIT versus plan — rewarding growth (and M&A) rather than return on capital; 70% approval of the 2025 pay policy.
- **What must hold for today's price:** roughly 3–4% organic growth, a stable ~35% EBITDA margin, capex ~18% and no large M&A. That is not demanding.
- **If growth disappoints by 20–30%** (organic ~2.7–3.0% rather than 3.8% in 2027, with 50bp less margin): EPS 2027E ~€1.95–2.00 and, at a de-rated 9–10x, the stock is worth €18–20 (−7% to −15%) [calc].
- **Single permanent-impairment scenario:** a large, debt-funded acquisition at a full multiple combined with an end to buybacks; we put it at ~10–15% over three years given the 2024 precedent and the "significantly higher than usual" M&A pipeline [#568].

Red flags and accounting risks

Area	Observation	Risk
Revenue recognition	Rental contracts treated as service agreements (substitution right), recognised over time; subscriptions invoiced in advance (contract liabilities) [#5620]. Unearned revenue increases boosted CFO by €59.9m in 2025 [calc, S&P].	Low
Adjusted metrics	Headline EPS (€1.85) is 26% above IFRS diluted EPS (€1.46): excludes PPA amortisation (€85.7m), IFRS 2 (~€35m) and non-recurring items. SBC (€34.7m) is a real cost equal to ~9% of IFRS net income.	Medium
One-offs	~€25m insurance compensation in FY2025 non-current income [#251] and €25.3m gain on asset sales (S&P) flattered IFRS net income growth (+8.6%).	Medium
Segment reporting	EBITDA only by segment; no segment EBIT, capex or assets in indexed data; "Other" includes manufacturing and holdings. Hard to see where capital earns its return.	Medium
Leases	IFRS 16 lease liabilities ~€700m excluded from company net debt and leverage; lease payments €91.1m in H1 2026 sit below EBITDA. Company EBITDA is post-IFRS 16, so EV/EBITDA must include leases.	Medium
Goodwill / intangibles	Goodwill €4,039.6m exceeds equity (€3,812.5m; €3,474m at Jun-26 after buybacks): tangible equity is negative. Impairment indicators in Mexico and Chile CGUs in H1 2026, no charge [#329]; €58.7m Russia impairment in 2022.	High
Working capital / financing	Receivables securitisation (€294m sold, on balance sheet) and a supplier-finance programme (60-day terms) can flatter operating cash flow; utilisation of the supplier-finance programme not disclosed [#253]. DSO up 3 days YoY at Jun-26.	Medium
Capitalisation of linen	Linen purchases are capex (~two-thirds of capex maintains linen in circulation); useful-life assumptions drive D&A of ~19.6% of revenue. Shortening lives would cut EBIT; lengthening them would flatter it.	Medium
Related parties	HSBC bond mandate (CEO on HSBC CE board); Predica-insured pension plan historically. Disclosed and approved.	Low
Contingencies	Brazil: Federal Police anti-corruption investigation (Lavatec/Lavebras) and São Paulo public-hospital contract probes, potential exclusion from public contracts up to 10 years [#5931]; French competition decision (2007). Provisions not quantified in indexed text.	Medium

Area	Observation	Risk
Restatements	H1 2025 and FY2024 restated for IFRS 3 purchase-price allocations (Neutral, Carsan, Wasned, Ernst) [#251]; small but recurring.	Low
Cash-flow statement	Dividend partly reclassified as "return of reserves" (€0.26 of €0.48 in 2026) — tax-driven, not economic. FCF after leases only ~21% of EBITDA; negative in H1 2026.	Low

Sources as cited; S&P Capital IQ figures linked where available; analyst assessment.

23. Timeline of key events and catalyst calendar

23.1 Key past events (2015 to today)

Date	Event	Category	Source
2015-02-11	IPO on Euronext Paris regulated market; EUR700m raised via new shares at EUR13 per share	capital markets / IPO	[#149] [#435]
2015-04	Post-IPO refinancing: successful notes offering in April 2015	refinancing	[#12]
2016	Indusal (Spain) acquisition	M&A	[#81]
2017-06-06	Berendsen: agreement in principle on recommended offer (GBP5.40 cash + 0.403 new Elis shares per Berendsen share); Rule 2.7 announcement 12-Jun-2017	M&A	[#821] [#341]
2017-09-12	Berendsen acquisition completed	M&A	[#3423] [#3169]
2018-01-30	Investor Day (Capital Markets Day 2018)	CMD	Elis SA - Analyst/Investor Day
2019	Management: executive appointed Group CFO in 2008 became Deputy CEO & EVP Group Operations in 2019; CFO Louis Guyot (joined the Group in 2013)	management	[#934] [#634]
2020-03	Covid-19 crash: weekly close EUR17.50 (week of 23-Dec-2019) to EUR7.26 (week of 30-Mar-2020), -58.5% [calc]; prior peak regained only in week of 10-Jul-2023 [calc]	macro (Covid)	
2020-03-31	FY2019 dividend (EUR0.39/share) withdrawn; M&A put on hold (Covid)	dividend suspension	[#3252] [#144]
2022-02-10 to 2022-03-08	Ukraine-war energy shock: share price -29.0% [calc]	macro (energy)	[#3392] [#424]
2022-03-09	FY2021 results: dividend reinstated (EUR0.37/share proposed, scrip option); 2022 EBITDA margin c.33.5% guidance with energy price pass-through; stock +8.5% [calc]	dividend reinstatement / guidance	[#854] [#3444]
2022	Entry into Mexico via acquisition completed in 2022	M&A	[#81]
2022-07-27	H1 2022: FY guidance raised (organic +18-20% from +13-15%; EBIT >EUR530m)	guidance change	[#20] [#302]
2022-09-22	OCEANE 2029 convertible issued: EUR380m, 2.25% coupon, maturity 22-Sep-2029, holder put 22-Sep-2027	refinancing / convertible	[#861] [#6435]
2022-09-29	5-year closing low EUR9.91 (ProntoNLP series) [calc]	price	
2022-10-26	Q3 2022: FY organic growth guidance raised to >+20%	guidance change	[#25]
2023-03-08	FY2022 results: 2023 guidance organic +11% to +13%, HNI >EUR405m; FY2022 dividend EUR0.41 (scrip option) approved May-2023	guidance / dividend	[#403] [#412]
2023-07-26	H1 2023: organic guidance specified at c.12%, HNI target raised	guidance change	[#366]
2023-09-04	Special call: climate/CSR roadmap (SBTi-based) plus recap of raised 2023 margin guidance (EBITDA margin c.+70bps vs +50bps)	CSR / guidance	[#244] [#428]
2023-10 / 2023-11	Moody's outlook to positive (Oct-2023); S&P upgrade to investment grade BBB- (Nov-2023)	credit rating	[#231] [#232]
2024 (early)	Moderna (Netherlands) acquisition (c.EUR50m revenue) - the main 2024 deal; EMTN refinancing in March 2024	M&A / refinancing	[#269] [#1260]
2024-05-23	AGM: FY2023 dividend EUR0.43/share (cash)	dividend	[#6196]
2024-06-06 to 2024-06-28	French snap election (National Assembly dissolved): -13.5% [calc]; management: 'stock price lost around 15% since the dissolution'	macro (French politics)	[#81] [#155]
2024-07-01	Wonway (Malaysia) acquisition - first operation in Asia	M&A	[#1]
2024-09-05 to 2024-10-18	Exploratory talks with two US market players (Vestis named by CEO at CMD) -> -21.1% (5-10 Sep) [calc]; talks terminated at beginning of October -> +17.0% (2-18 Oct) [calc]	M&A	[#1] [#3277]
2025-01-07	Sector: Cintas's public proposal to buy UniFirst ($275/sh cash): UNF +20.9%, Elis +3.4% and +2.8% next day [calc]; Cintas terminated talks (announced 24-Mar-2025)	sector M&A	[#110]
2025-03-06	FY2024 results + new capital allocation policy (bolt-ons EUR50-150m/yr, keep IG rating, leverage -0.1x/yr, rest to shareholders); EUR150m buyback; dividend EUR0.45; stock +9.05% [calc]	capital allocation / buyback	[#133] [#4]
2025-05-22	AGM: FY2024 dividend EUR0.45 (paid 28-May-2025)	dividend	[#6197] [#562]
2025-05-27	Capital Markets Day: 2025-2028 targets (revenue +5-6% p.a. at constant FX incl. c.+4% organic and +1-2% bolt-ons; EBITDA margin c.+20bps p.a.; FCF 35% higher over next 4 years vs last 4); Vestis 'not at all an option'	CMD	[#262] [#3232]

Date	Event	Category	Source
2025-06-11 to 2025-11-17	Major-holder threshold disclosures: 20% voting-rights threshold crossed down/up/down (11-Jun, 3-Jul, 17-Nov-2025) and 15% threshold crossed upward (16-Oct-2025)	shareholding	[#6624]
2025-08 (end)	EUR350m 3.375% notes due Sep-2031 placed; Feb-2026 EUR350m bond redeemed early on 18-Nov-2025	refinancing	[#5314]
2025 (FY)	2025 buyback executed: 6,560,820 shares for EUR150.0m (avg EUR22.87); EUR109.1m of repurchased shares cancelled	buyback	[#663] [#666]
2026-01-06	2026 share buyback (up to EUR500m) starts; completed mid-July 2026	buyback	[#693] [#695]
2026-03-03	Middle East (US/Israel/Iran) conflict energy shock: -5.8% day [calc]; gas/electricity spot +50% since start of conflict	macro (geopolitics/energy)	[#424] [#73]
2026-03-10	Sector: Cintas-UniFirst merger agreement ($5.5bn; $155 cash + 0.7720 CTAS shares per UNF share), announced 11-Mar-2026	sector M&A	[#32] [#16]
2026-03-11	FY2025 results: dividend EUR0.48 proposed; buyback up to EUR500m; 2026 guidance (EPS high single-digit growth)	results / capital return	[#507] [#519]
2026-03-16	EUR600m 6-year 3.875% EMTN placed - to refinance EUR300m bond due 24-May-2027 and fund buyback	refinancing	[#267] [#269]
2026-05-21	AGM: FY2025 distribution EUR0.48/share paid 28-May-2026; OCEANE conversion ratio adjusted to 6,256.8564 shares per bond from 28-May-2026	dividend / convertible	[#106] [#173]
2026-06-11	Sector: UniFirst holders approve Cintas deal; FTC Second Request received	sector M&A	[#45] [#37]
2026-06-19	OCL Laundry Services (Ireland) acquisition abandoned (CCPC notification withdrawn)	M&A	[#433] [#434]
2026-07-03	Highest close in available data (since 2019): EUR28.20 [calc]	price	
2026-07-29	H1 2026 results: objectives confirmed (not raised), Mexico volume loss, negative H1 FCF, leverage 2.09x; stock -5.7% next day [calc]	results / guidance	[#330] [#342]
2026-09-21	Unexplained -6.4% day (close at session low EUR20.98), +5.6% next day [calc]	price	
2026-10-02	Sector: Cintas/UniFirst FTC timing agreement - no closing before 11-Dec-2026 unless FTC closes investigation earlier	sector M&A	[#39] [#4]

Source: Elis filings and transcripts via ProntoNLP; price moves from ProntoNLP prices [calc] (model/D_timeline.csv).

23.2 Upcoming catalysts (12-Oct-2026 to end-2027)

Dates marked [e] are estimates from prior-year patterns; [u] = not verified in permitted sources. The most actionable near-term items are the OCEANE 2029 soft call (exercisable from 13-Oct-2026), Q3 2026 revenue on 28-Oct-2026, the end-2026 price/index negotiations and the FY2026 results in early March 2027 (2027 guidance, dividend, next buyback).

When	Event	Why it matters	Impact
2026-10-13 onwards	OCEANE 2029 soft call becomes exercisable (redemption in full at par + accrued, subject to 130%-of-par market condition)	Management called the soft-call exercise 'planned' (H1 2026) and said bought-back shares would be used to settle the convertible. EUR380m bonds; 6,256.8564 shares per bond from 28-May-2026 implies c.23.78m underlying shares and a … [#558] [#692]	High
2026-10-21	UniFirst FY2026 results call (16:30 UTC)	Last UNF results before the pending Cintas merger closes; read-across on US demand and pricing. Fiscal Year 2026 Earnings Call	Medium
2026-10-28	Elis Q3 2026 revenue (call 16:40 UTC, after Paris close)	Watch for: the H2 sequential organic improvement management promised, Mexico volumes, French activity, energy/fuel cost pass-through, and any soft-call decision. Prior-year pattern: Q3 2024 release on 29-Oct-2024; Q3 2023 call on … Q3 2026 Earnings Call [#334]	High
2026-11-06	Rentokil Initial Q3 2026 trading update	Read-across for European hygiene/workwear services. Q3 2026 Earnings Call	Medium
2026-11	Settlement of the 'Elis for All 2026' employee share plan (small capital increase)	Prior plans settled 14-Nov-2024 and 13-Nov-2025. [#300] [#5829]	High
2026-11-27 (ProntoNLP date) / early Dec-2026 [e]	Vestis FY2026 results	Vestis cut guidance (May-2024), suspended its full-year guidance (May-2025) and is a turnaround story; Elis had little visible read-across on those days (0.0% and -2.1%) [calc]. The prior-year Q4 call was on 2-Dec-2025. Fiscal Year 2026 Earnings Call Vestis Corporation, Q4 2025 Earnings Call, Dec 02, 2025	Medium

When	Event	Why it matters	Impact
2026-12-11 (earliest)	Earliest closing date for Cintas-UniFirst ($5.5bn) under the FTC timing agreement, unless the FTC closes its investigation earlier; Cintas had expected closing in H2 cale…	Consolidates the US uniform-rental market (CEO at CMD: Cintas, Vestis and UniFirst hold about 2/3 of the market). Valuation benchmark for Elis; possible FTC remedies or litigation [inference]. [#39] [#4]	High
Q4 2026 (year-end)	Annual price/index negotiations with clients for 2027	Management expects 'strong indexes' to support 'super nice price increase in 2027' and better organic growth in 2027. [#472] [#524]	Medium
2026-12-15	End of the authorized 2026 buyback window; the EUR500m programme was already completed in mid-July 2026	No more buyback support until a 2027 decision (likely with FY2026 results) [inference]. [#695] [#293]	High
late Dec-2026 [e]	Cintas Q2 FY2027 results	Bellwether for US uniform demand and pricing. Cintas Corporation, Q1 2027 Earnings Call, Sep 23, 2026 Cintas Corporation, Q3 2025 Earnings Call, Mar 26, 2025	Medium
2027-01-01 [e]	2027 minimum-wage resets in Elis countries (e.g. Germany, France, Latin America; UK national living wage in April [u])	2026 increases hurt margins where pass-through lags: Germany ('huge increase ... decided for 2026'), Colombia +23%, Mexico +13%, UK hard to pass through. 2027 levels are not in permitted sources. [#740] [#147]	Medium
2027-01-01	IFRS 18 first applied: new P&L presentation (the net financial income/expense subtotal is eliminated)	Affects how 2027 interim figures are presented and compared. [#5563] [#243]	Medium
early-mid Mar-2027 [e]	FY2026 results: 2027 guidance, FY2026 dividend proposal, 2027 buyback decision	The capital-allocation policy (leverage -0.1x a year, remaining cash to shareholders) points to another buyback or special distribution decision [inference]. 2026 guidance: EPS growth in the high single digits. Elis SA, 2025 Earnings Call, Mar 11, 2026 Elis SA, 2024 Earnings Call, Mar 06, 2025	High
Apr-May 2027 [u]	French presidential election	About 30% of revenue is in France. The snap election in Jun-2024 cost the stock about 15% (per management). Analysts asked about it on the H1 2026 call; the CEO noted 'super worry about French election in 27'. [#457] [#476]	Medium
early May-2027 [e]	Elis Q1 2027 revenue	Pattern from the provisional 2026 calendar (Q1 2026 revenue on 05/04/2026) and Q1 release documents dated 3-May-2026, 4-May-2025 and 5-May-2024. [#6794] Elis SA - FIN SUPP - 2026-03-31	High
c.20-May-2027 [e]	2027 AGM (FY2026 accounts and dividend; renewal of buyback authorization)	Prior AGMs: 23-May-2024, 22-May-2025, 21-May-2026. [#6196] [#6197]	Medium
2027-05-24	Maturity of the EUR300m bond, already pre-funded by the EUR600m 3.875% EMTN placed on 16-Mar-2026	No refinancing risk. [#269] [#267]	High
ex-date c.26-May-2027 / payment c.28-May-2027 [e]	FY2026 dividend ex-date and payment (FY2025: EUR0.48)	Payments were made on 28-May-2025 and 28-May-2026; the ex-date is assumed 2 business days before payment [e]. [#562] [#106]	Medium
late Jul-2027 [e]	Elis H1 2027 results (after-close release; 16:00 UTC call)	Pattern: calls on 24-Jul-2024, 30-Jul-2025 and 29-Jul-2026. Elis SA, H1 2026 Earnings Call, Jul 29, 2026 Elis SA, H1 2025 Earnings Call, Jul 30, 2025	High
2027-09-22	OCEANE 2029 holder put date (only relevant if the bonds are not called or converted before)	[#173] [#6435]	High
late Oct-2027 [e]	Elis Q3 2027 revenue	Pattern: 26-Oct-2023, 29-Oct-2024, 28-Oct-2026. Elis SA, Q3 2023 Sales/ Trading Statement Call, Oct 26, 2023	High
2027 (Feb/May/Aug) [e]	Vestis quarterly results	2026 calls were on 10-Feb, 12-May and 11-Aug-2026. Vestis Corporation, Q1 2026 Earnings Call, Feb 10, 2026 Vestis Corporation, Q2 2026 Earnings Call, May 12, 2026	Medium
2027 (ongoing)	Bolt-on M&A (EUR50-150m a year); no large (>EUR200m) deal under discussion as of 29-Jul-2026; pipeline is in existing European countries	The Irish OCL deal was abandoned in Jun-2026. No pending closings identified in permitted sources. [#588] [#590]	High
2027 (ongoing)	Mexico volume and LatAm margin recovery expected in 2027	[#559]	Medium
through end-2028	Horizon of the CMD 2025-2028 targets (revenue +5-6% a year at constant FX; EBITDA margin c.+20bps a year)	No date for the next CMD found in permitted sources. [#262]	Medium

Source: worker D catalyst calendar (model/D_catalyst_calendar.csv), ProntoNLP upcoming-event listings and Elis filings.

Appendix: sources, methodology and data gaps

- **Sources:** only S&P Global Capital IQ (S&P Deterministic Retrieval connector: financial statements and line items, company info) and ProntoNLP (S&P transcripts, Elis annual/semi-annual reports and releases, consensus, prices, peer graph, sentiment). No web browsing; the Financial Datasets connector was not used.
- **Hyperlinks:** ProntoNLP sentence markers [#n] and document links open the source in ProntoNLP; S&P figures link to the Capital IQ document viewer where the connector returned a link. Statement-level S&P pulls returned no links — such figures are marked "S&P, link n/a" or cited generally as S&P Capital IQ.
- **Conventions:** [calc] analyst calculation; [e] estimate; [u] unverified/background knowledge not found in permitted sources; [inferred] interpretation of garbled filing text. Fiscal year = calendar year for Elis; peers on their own fiscal years (LTM used).
- **Data gaps:** forward consensus (EPS/EBITDA) for Elis and peers; full top-10 shareholder register; short interest; euro amounts of executive pay and holdings; full-year € segment revenue (non-indexed tables); supplier names; Q3 2025 standalone revenue; ProntoNLP price history before 2019 (series partly dividend-adjusted).
- **Process note:** research was split across seven workers; four were stopped by an API rate limit after collecting and saving their raw data and structured files — the lead analyst completed their analysis (including the peer multiples and regression) from those saved files. Every connector call and raw response is listed in the separate data-provenance document.
- **Disclaimer:** prepared for institutional investors for discussion purposes; not investment advice; estimates are subject to change.